

ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30TH JUNE 2010



Energizing and powering the
community the green way

Our Vision

To be a world class producer of sugar and energy

Our Mission

To consistently satisfy consumer needs for sugar and energy through efficient and innovative practices while meeting the diverse expectations of all our stakeholders.

Our Key Values

- Consistently offer quality products and services to our customers.
- Uphold excellence in performance as a key business driver.
- Encourage teamwork and positive contribution from our motivated and innovative employees.
- Conduct business with our customers and all other stakeholders with integrity and probity.
- Practice fair competition.
- Observe good corporate governance at all times.
- Be a responsible corporate citizen.
- Be an equal opportunity employer guided by local laws and International Labour Organization conventions.
- Embrace internationally accepted health, safety and environmental practices in our operations.

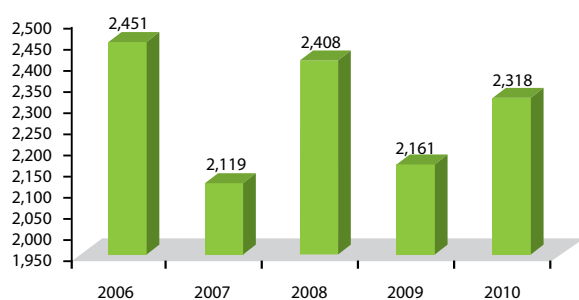


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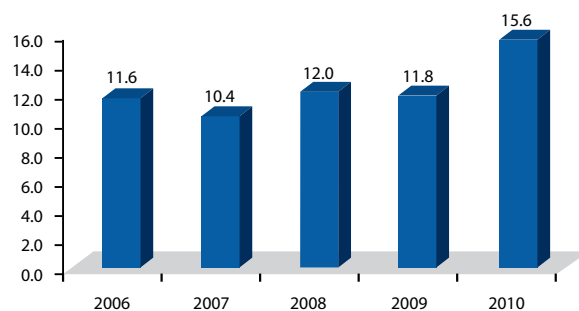


PERFORMANCE HIGHLIGHTS

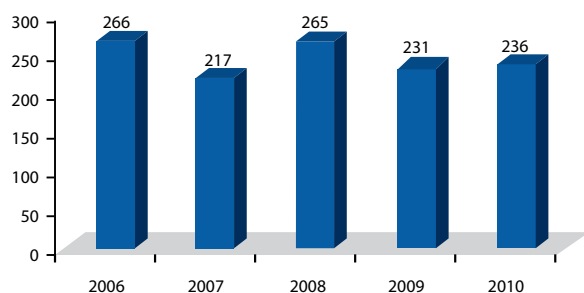
Sugar Cane Processed ('000' Tonnes)



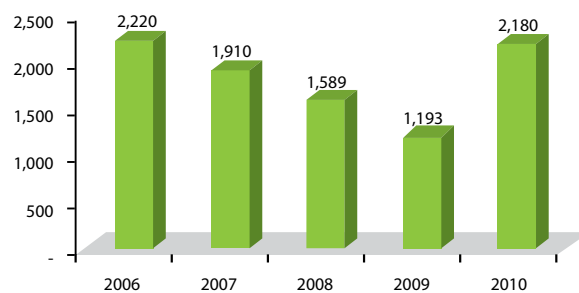
Net Turnover (Shs 'billions)



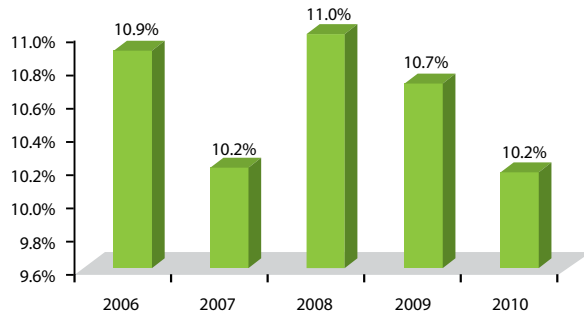
Sugar Production ('000' Tonnes)



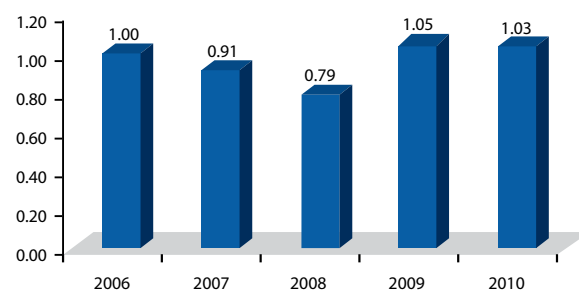
Profit Before Tax (Shs millions)



Sugar Recovery rate - %



Earnings Per Share - Shs



DIRECTORS

Mr J V Bosse	- Chairman
Dr E Kidero	- Managing Director
Mr J Kinyua	- (alternate Mrs E Koimett)
Hon A S Wako	- (alternate Mr P Okoth)
Mr J G Chege	
Mr K Gatabaki	
Dr C W Wangia	
Ms G K Ngala	
Mr M R Juma	
Mr F K Kigen	
Mr E M Mukabanah	
Mr J M Mruttu	

BOARD COMMITTEES

Board Audit Committee	Mr J G Chege Mr K Gatabaki Mr J Kinyua Dr C W Wangia	- Chairman - (alternate Mrs E Koimett)
Board Human Resource and Strategy Committee	Mr K Gatabaki Dr E Kidero Ms G K Ngala Mr E M Mukabanah Mr J Kinyua Hon A S Wako	- Chairman - (alternate Mrs E Koimett) - (alternate Mr P Okoth)
Board Tender Committee	Mr M R Juma Mr J G Chege Mr F K Kigen Mr J M Mruttu	- Chairman

COMPANY SECRETARY

Mrs Emily Otieno
Certified Public Secretary (Kenya)
Private Bag, Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag, Mumias

REGISTRARS

Image Registrars
P O Box 9287 - 00100
Nairobi

BANKERS

Kenya Commercial Bank Limited
Barclays Bank of Kenya Limited
The Co-operative Bank of Kenya Limited
CFC Stanbic Bank Limited

ADVOCATES

E K Owinyi & Company
Hamilton Harrison & Mathews
Wetangula & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

SHAREHOLDING INFORMATION

MAJOR SHAREHOLDERS

The major shareholders on the company's share register as at 30 June 2010 were as follows:

No.	Name	Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00
2	Kenya Commercial Bank Limited	46,500,000	3.05
3	The Jubilee Insurance Company Limited	24,635,002	1.61
4	Kanouti Trustees	19,576,263	1.28
5	Barclays (Kenya) Nominees Ltd a/c 9389	12,146,734	0.79
6	Abdul Karim Charturbhai Popat	14,400,000	0.94
7	Karim Jamal	9,916,983	0.64
8	Pradeep Patani	8,992,997	0.59
9	Goodwill (Nairobi) Limited A/C K867	8,000,000	0.52
10	Baloobhai Chhotabhai Patel	7,500,000	0.49
11	Others	1,072,332,021	70.09
Total		1,530,000,000	100.00

MSC DIRECTORS' SHAREHOLDING

The directors' direct and indirect interests in the ordinary share capital of the company as at 30 June 2010 were as follows:

Director's Name	Number of shares
Permanent Secretary, Treasury	306,000,000
Hon A S Wako	1,125,000
Dr E Kidero	300,000
Mr M R Juma	64,050
Ms G K Ngala	21,400
Dr C W Wangia	14,200
Mr K Gatabaki	10,000
	307,534,650

SHAREHOLDERS PROFILE

Category	Number of shareholders	Number of shares	Percentage holding
Local corporate	4,743	764,297,385	49.96
Local individuals	134,903	719,630,012	47.03
Foreign investors	675	46,072,603	3.01
Total	140,321	1,530,000,000	100.00

SHARES DISTRIBUTION SUMMARY

Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 500	20,772	5,116,167	0.34
501 to 1000	43,006	29,838,827	1.95
1001 to 5000	53,038	124,096,275	8.11
5001 to 10000	12,070	85,176,999	5.57
10001 to 50000	9,260	190,178,755	12.43
50001 to 100000	1,017	71,160,081	4.65
100001 to 500000	893	188,408,812	12.31
500001 to 1000000	124	86,667,302	5.66
1000001 to 2000000001	141	749,356,782	48.98
Total:	140,321	1,530,000,000	100.00

NOTICE IS HEREBY GIVEN that the 39th Annual General Meeting of the company will be held at Tom Mboya Labour College on Friday 3 December 2010 at 10.00am to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the Thirty Eighth Annual General Meeting held on 4 December 2009
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June 2010 together with the Directors' and Auditors' Reports thereon.
4. To declare and approve a final dividend of Kshs 0.40 per share for the financial year ended 30th June 2010 payable to the shareholders on the Register of Members at close of business on Friday 5th November 2010.
5. To elect Directors:
 - (a) Mr Kungu Gatabaki, Dr Caleb Wangia, Hon Amos Wako and Ms Grace Ngala will retire by rotation in accordance with article 113 of the company's Articles of Association.
 - (b) Mr Kungu Gatabaki and Hon Amos Wako being eligible, offer themselves for re-election. However Ms Grace Ngala and Dr Caleb Wangia have opted to retire in line with the Directors' appointment and retirement policy.
6. To approve the Directors remuneration for the year ended 30th June 2010
7. To note that the Auditors, Deloitte and Touche, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
8. Any other business for which appropriate notice has been issued and received.

SPECIAL BUSINESS

9. To consider and, if approved, pass the following Special Resolution:-

"That the Articles of Association of the Company be amended by deleting the existing Article 145 in its entirety and substituting it with the following new Article 145 to read as follows;

- (a) Any dividend or other money payable in cash on or in respect of shares may be paid by electronic funds transfer or other automated system of bank transfer, electronic or mobile money transfer system, transmitted to such bank or electronic or mobile telephone address as shown in the share register of the Company or by cheque or warrant payable at such place of business as the Company shall specify in writing, sent through the post to the address of the member or person entitled to it as shown in the share register of the Company or if two or more persons are registered as joint holders of the shares, to the registered address of the joint holder who is first named in the share register of the Company or in the case of two or more persons being entitled thereto in consequence of the death or bankruptcy of the holder, to any one of such persons at such address as the persons being entitled to receive payment may in writing direct.
- (b) Every such cheque or warrant or funds transfer shall be made payable to or to the order of the person to whom it is sent or to such person who may be entitled to the same (as described in Article 145 (a) above). Payment of the cheque or warrant, if purporting to be endorsed or enfaced, by the addressee or as the case may be, confirmation of payment having been made by the transmitting entity to the addressee of a direct debit, bank transfer or other automated system of bank transfer or via a mobile money transfer system, shall in each case be a good discharge to the Company. Every such payment whether by cheque or warrant or electronic funds transfer or mobile money payments system shall be sent at the risk of the person entitled to the money represented by it."

BY ORDER OF THE BOARD

E K OTIENO

Company Secretary

Date: 26th August 2010

Notes:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. A form of proxy may be obtained from the Company's website or from the Company's share registrars. To be valid, a proxy form must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00 a.m on Monday 29th November 2010.
3. In accordance with Article 155 of the Company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com. An abridged version of the Balance Sheet, Income Statement, Statement of Change in Equity and Cash flow Statement for the year ended 30th June 2010 have been published in two daily newspapers with nationwide circulation.
4. Water and light snack will be provided to those attending the Annual General Meeting.



NOTISI INATOLEWA HAPA KWAMBA mkutano wa 39 wa pamoja wa Mwaka wa Kampuni utafanyika siku ya Ijumaa Desemba 3, 2010 katika chuo cha Tom Labour College kuanzia saa nne asubuhi ili kuangazia maswala yafuatayo ya kibiashara:

- 1) Kusoma notisi ya kuitishwa kwa mkutano
- 2) Kuthibitisha kumbukumbu za mkutano wa 38 wa mwaka uliofanyika Desemba 4, 2009.
- 3) Kupokea, kuangazia na endapo itathibitishwa kupitisha taarifa za matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2010 pamoja na ripoti za wakurugenzi na wakaguzi wa pesa
- 4) Kutangaza na kupitisha malipo ya mwisho ya mgawo wa faida ya senti 40 kwa kila hisa kwa kipindi cha mwaka uliomalizika Juni 30, 2010 utakaolipwa kwa wanachama ambao majina yao yalikuwa kwenye rejista kufikia Novemba 5, 2010.
- 5) Kuwachagua wakurugenzi:
 - a) Bw. Kungu Gatabaki, Dkt. Caleb Wangia, Mhe. Amos Wako na Bi. Grace Ngala watastaafu kwa zamu kwa mujibu wa kifungu nambari 113 cha sheria za kampuni
 - b) Kwa kuwa hali inawaruhusu, Bw. Kungu Gatabaki na Mhe. Amos Wako wamejitokeza tena kuchaguliwa. Hata hivyo, Bi. Grace Ngala na Dkt. Caleb Wangia wameamua kustaafu kwa mujibu wa sheria za uteuzi na ustaafu wa wakurugenzi
- 6) Kupitisha malipo ya wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2010.
- 7) Kutambua kwamba, kwa kuwa hali inawaruhusu, wakaguzi wa pesa Deloitte and Touche wataendelea na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za kampuni (kifungu nambari 486) na kuwaamuru wakurugenzi kuamua malipo yao.
- 8) Shughuli nyingine ambazo notisi yake itakuwa imetolewa na kupokelewa kwa muda unaofaa.

SHUGHULI MAALUMU

- 9) Kupokea na endapo itakubaliwa kupitisha maazimio yafuatayo maalumu:

“Kwamba, vifungu vya sheria za kampuni vifanyiwe marekebisho kwa kuondoa kifungu nambari 145 chote kama kilivyo kwa sasa na kukigeuza na kifungu kipya nambari 145 kama ifuatavyo:-

- a) Malipo ya mgawo wa faida au kwa pesa taslimu kwa mujibu wa hisa yanaweza kutolewa kupitia mbinu ya elektroniki au mfumo mwingine wa kutuma pesa kutoka benki moja hadi nyingine, elektroniki au anwani ya simu kama ilivyoonyeshwa kupitia rejista ya hisa za kampuni au kupitia hundi au dhamana na kulipiwa mahali pa biashara kama itakavyokuwa imeelekezwa na kampuni kwa njia ya kuandika na kutumwa kupitia anwani ya sanduku la posta la mwanachama au mtu aliye na ruhusa kama ilivyoonyeshwa kupitia rejista ya kampuni au endapo watu wawili au zaidi wamesajiliwa kama wamiliki wa pamoja wa hisa, katika anwani zilizosajiliwa kama wamiliki wa pamoja, kwa mtu atakayekuwa ametajwa wa kwanza kwenye rejista ya hisa za kampuni au kwa hali ambapo watu wawili au zaidi watakuwa wamiliki kutokana na kifo au kufilisika kwa mtu yeyote kupitia anwani hii kama mtu aliye na ruhusa kupokea malipo anaweza kufanya hivyo kwa njia ya kuandika.
- b) Hundi yoyote au dhamana au mahamisho ya pesa yatakayo hitajika kulipwa yatatolewa kwa au kwa amri ya mtu anayetumiwa au kwa mtu atayekuwa na ruhusa hiyo (kama ilivyofafanuliwa kupitia kifungu nambari 145 (a) hapo juu). Malipo kwa hundi au dhamana endapo yatakusudiwa kuwa yametiwa sahihi au kufungwa na mwenye kutuma au kutokana na hali itakavyokuwa, thibitisho la kutumwa moja kwa moja katika benki, hamisho kutoka benki moja hadi nyingine au mifumo mingine ya uhamisho au kupitia mbinu ya kutuma kupitia simu itakuwa njia bora ya kutumiwa na kampuni. Mbinu yoyote ya utoaji malipo iwe ni kupitia hundi au dhama au mfumo wa elektroniki au kupitia simu itatumwa kwa jukumu la mwenye kutumiwa pesa”

KWA AMRI YA HALMASHAURI

E K OTIENO

Katibu wa kampuni

Imenukuliwa Agosti 26, 2010

Muhimu:

- 1) Kupitia notisi ambayo mwanachama atakuwa ametia sahihi na kuwasilishwa kwa katibu chini ya muda wa siku 3 na zisizidi 21 kabla ya tarehe iliyotengewa mkutano Mkuu wa pamoja wa mwaka, anaweza kutoa notisi yenye nia ya kumpendekea mtu yeyote kuchaguliwa kama Mkurugenzi katika Halmashauri. Notisi kama hii iandamane na nyingine iliyotiwa sahihi na mtu anayependekeza kuonyesha nia yake kuchaguliwa.
- 2) Mtu aliye na uwezo kufika kwenye mkutano na kupiga kura lakini akawa hawezi kufanya hivyo, ana ruhusa kumteua wakala wake kuhudhuria na kupiga kura kwa niaba yake. Si lazima kwa wakala huyo kuwa mwanachama wa kampuni. Fomu ya wakala inaweza kupatikana kupitia wavuti wa kampuni au wasajili wa hisa za kampuni. Ili kukubaliwa, fomu ya wakala lazima iwe imejazwa kikamilifu na kutiwa sahihi na mwanachama na lazima iwasilishwe katika ofisi za msajili wa hisa za kampuni, **Image Registrars and Certified Public Secretaries**, orofa ya nane Jumba la Trans National Plaza Barabara ya Mama Ngina, SLP 9287-00200 GPO NAIROBI au iwasilishwe katika ofisi za kampuni mjini Mumias kabla ya saa tano asubuhi siku ya Jumatatu Novemba 29, 2010.
- 3) Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni, nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kuonekana na kupatikana kupitia wavuti wa kampuni ambao ni: www.mumias-sugar.com. Muhtasari wa mizania, taarifa za mapato na mabadiliko ya hisa na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2010 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kote nchini.
- 4) Maji na vitafuno vitatolewa kwa wale watakaohudhuria mkutano wa pamoja wa mwaka.





MR JOHN BOSSE (63)
Chairman

Mr. Bosse is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.



DR EVANS KIDERO (53)
Managing Director

Dr. Kidero is a Pharmacy graduate from the University of Nairobi and holds an MBA from United States International University. He has over 24 years experience in the Manufacturing and Media sectors where he held several senior management positions and rose to become Managing Director of GlaxoSmithkline and Nation Newspapers Division.



MR KUNGU GATABAKI (65)
Director

Mr. Gatabaki is a graduate in Economics, Project Finance and Management from Legan and Bradford Universities. He worked for CDC (formerly Commonwealth Development Corporation) for 30 years and acquired wide experience in project finance, portfolio management and corporate board practices. He is a director with TPS(EA) Serena Group, Development Bank of Kenya, Grain Bulk Handlers Ltd, Africa Reinsurance Corporation (SA) and the Chairman of Karume Investments among other company Boards.



MS GRACE NGALA (60)
Director

Ms Ngala obtained a BA degree from the University of Nairobi and an MA degree from the University of Connecticut, USA. Prior to joining MSC Board, Madam Ngala served as a Director on the Boards of National Housing Corporation and Kenya Women Finance Trust. Madam Ngala is also a member of the Professional Business Women Association.



MR MUKABANAH EDWINS MASSIMBA (53)
Director

Mr. Mukabana has a MSc. Transport Planning and Management from Westminster (UK) Bachelor of Arts Political Science. He is currently the Managing Director of the Kenya Bus Services Management Ltd and President of Bus Operators Commission at Union of Africa Public Transport (UATP). Mr Mukabana is also the Managing Consultant with Transport Links Ltd, a firm that advises on transport restructuring.



MR JOHN MTUTA MRUTTU (55)
Director

Mr. Mruttu is an engineer by profession with BSc – Mechanical Engineering from the University of Nairobi and an MBA from the same university. He is a member of the Institute of Mechanical Engineer – (UK) and a registered Chartered Engineer. He is currently the general manager of Kenya Petroleum Refineries Ltd. He has a wide experience in various fields of engineering.



MR JAMES CHEGE (56)
Director

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of KCFC which is a wholly owned subsidiary of KCB. He has worked as Director, Bank Restructuring and Privatisation Project in the Ministry of Finance funded by the World Bank. He is currently in private financial consultancy.

BOARD OF DIRECTORS (Continued)



MR JOSEPH KINYUA (59)
Director

Mr. Kinyua holds a Master of Arts degree in Economics. He has worked in various senior positions in the Central Bank of Kenya, IMF and Ministry of Finance. He is currently the Permanent Secretary, Treasury. He serves on several company Boards.



MRS ESTHER KOIMET (53)
Alternate Director

Mrs. Koimet is a holder of an MBA and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information. She has also been the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance.



MR MAURICE JUMA (62)
Director

Mr. Juma holds a Diploma in Statistics from the University of Dar es Salaam. He was a career banker having worked for Central Bank of Kenya for 27 years from where he retired as a Senior Research Officer. During his long stay at Central Bank, Mr. Juma worked as a member of the joint IMF and CBK Committee on Balance of Payment Review Committee.



DR CALEB WANGIA (64)
Director

Dr. Wangia is a holder of a BSc Agriculture (Makerere University), Msc Agricultural Economics (University of Nairobi) and Ph.D Agricultural Economics (Alberta University, Canada). He has lectured at Nairobi, JKUAT and Egerton Universities. He has wide experience in agricultural input supply with Hoechst, Ciba Geigy and Pfizer Corporation. He has also worked in the NGO sector with FAO and Winrock International. He is currently the Regional Director East Africa with Citizens Network for Foreign Affairs.



EMILY K OTIENO (41)
Company Secretary

Emily K. Otieno holds an LLB Degree from the University of Nairobi, a Post graduate Diploma in Legal studies from the Kenya School of Law and is a Certified Public Secretary. She also holds a post graduate diploma in Corporate Governance from the Kenya College of Accountancy (KCA) University. She is an advocate of the High court of Kenya with a long experience as an in house-legal counsel. Prior to joining MSC she worked with the Lake Basin Development Authority as the Principal Legal Officer. She advises Management and the Board on legal and compliance issues.



MR PATRICK OKOTH (38)
Alternate Director

Mr. Okoth has an LLB degree from Nagpur University, India, postgraduate diploma from the Kenya School of Law and is an Advocate of the High Court of Kenya. He also has a Masters in International Studies from Nairobi University and a certificate from the National Defence College (Kenya) in National Security Strategy Studies. He is currently in the office of the Attorney General.



MR FRANCIS KIPKOECH ARAP KIGEN (64)
Director

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Master of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has worked as a Director of Kenya Bureau of Standards, as alternate Director Esso Kenya Limited, Human Resources/Public Affairs Manager Esso Kenya Limited. He has also worked as Training Manager, British American Insurance Company and as Director of Kenya Institute of Personnel Management.



HON AMOS WAKO (64)
Director

Hon. Wako was awarded a Bachelor of Law degree from the University of Dar es Salaam and Master of Law and Bachelor of Science (Economics) Honours degrees by the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner of Kaplan and Stratton Advocates and is currently the Attorney General of Kenya.



MR. JOHN BOSSE
Chairman

On behalf of the entire Board of Directors, I am pleased to present to you the Thirty Ninth Annual Report on the business and operations of the Company and financial results for the year ended 30th June, 2010.

FINANCIAL RESULTS

The financial results for the year ended 30 June 2010 were encouraging given the challenges experienced in the second half of the financial year, and a commendable

improvement over the last year. The company made a profit before tax of Shs 2,180 million which was 83% higher than last year's profit before tax of Shs 1,193 million. The Board commends management for the improvement achieved.

OPERATIONS

The company processed 2,318,080 tonnes (2009 - 2,161,031) of sugar cane, which was 7.3 % higher than the previous year. This was attributed to higher factory availability in the current year. The sugar plant underwent major repairs and maintenance at the beginning of the financial year leading to improved availability and efficiency.

The company anticipated to process more cane but was hampered by exceptionally heavy rain especially in the second half of the financial year. This disrupted cane harvesting and delivery of cane as most of the road infrastructure within the cane growing area was destroyed by the rains.

During the period, the company produced 235,792 (2009 - 231,014) tonnes of sugar, which was 2% higher than that produced the previous year.

The co-generation plant commissioned in May 2009 was still undergoing integration with the sugar plant and did not operate at its full capacity. The plant has since been fully integrated and commercial operations commenced in January 2010. It is anticipated that with the plant running at full capacity, the projected revenue will be realized.

REVENUE

Gross turnover was Shs 18,798 (2009 - Shs 14,196) million which was 32% above that achieved last year. This was attributed to better sugar selling prices during the year. The global supply of sugar was generally low resulting in above average selling prices during the year in the local market.

Revenue was also enhanced by the sale of power from co-generation plant which generated a gross revenue

of Shs 359 million as compared to Shs 13 million in 2009. This was the first year of operation of the new co-generation plant and it is expected that more revenue will be generated in coming years.

CONTRIBUTION TO GOVERNMENT REVENUE

The company continues to be one of the largest contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL) and other taxes. In the financial year the company paid over Shs 3,600 million (2009 - Shs 2,800 million) in VAT, SDL and other taxes

PROFIT AND EARNINGS PER SHARE (EPS)

Profit before tax increased by 83% from Shs 1,193 million in the previous year to Shs 2,180 million. Profit after tax of Shs 1,572 million was a slight decrease of 2% over the previous financial year. Shareholders will recall that in the previous year, the company benefited from a tax credit as a result of investment deduction on the cogeneration plant. Earnings per share at Shs 1.03 was Shs 0.02 per share lower than the previous period.

DIVIDENDS

There is need to conserve funds for the anticipated projects. The Directors propose a first and final dividend of 20% per ordinary share which amounts to Shs 0.40 per share to those shareholders on the register as at 4:30 pm on 5 November 2010. Payment of dividend is subject to the approval of shareholders.

STATUTORY AUDIT

The accounts were audited by Deloitte & Touche and received an unqualified opinion.

OUTLOOK

Sugar Industry

The world sugar prices have declined from an all time high of USD 700 - 750 per tonne in the first half of the year to about USD 500 - 600 per tonne in the second half of the year. We expect this range to be maintained in the coming financial year.

In the COMESA region, sugar prices have remained relatively high in the financial year and surplus countries were able to fetch



premium prices for their sugar. Sugar that is normally imported from member states was not available as most of it was exported to other destinations that were facing shortages occasioned by decline in global supply thus fetching premium prices.

The sugar industry in the country and the region is expected to get more competitive as the COMESA safeguard measures expire in 2012. Sugar companies will have to lower their cost of production and expand their product range to create new revenue streams.

MSC intends to increase its production of pre-packed sugar following the commissioning of a new packaging plant in September 2009. The company will also begin fortification of some of its sugar with nutrients to improve the health of the consumers.

Electricity Generation

As mentioned before, the new cogeneration plant has operated for its first full financial year and yielded commendable results given the challenges experienced in the period. The constraint was primarily in availing a constant flow of raw materials mainly bagasse (a by-product of sugar cane processing) from the sugar plant to the power plant to generate electricity.

The power plant could not be operated smoothly due to disruption of cane harvesting and delivery as explained before. There were also cases of reduced offtake by Kenya Power and Lighting Company. The company is in the process of refurbishing one of the old boilers to save on fuel consumption and improve efficiency of the power plant.

Greenfield Operations

Reliance on rain-fed sugar cane and small holder grower farms for cane supply has become a challenge. Three years ago, the company successfully completed a feasibility study on an integrated sugar project in the Tana River delta in collaboration with Tana and Athi River Development Authority (TARDA). The company has identified this as one of the medium to long term projects to be implemented.

This will ensure that the company sustainably delivers value to its shareholders and the other stakeholders.

Ethanol Production

The feasibility study on the viability of setting up an Ethanol production plant in MSC initiated in the last financial year was completed and the project confirmed to be viable. The company is in the initial stage of implementing the project. It will be financed through a mixture of debt and equity. The debt financier, a consortium of Ecobank, Ned Bank and Commercial Bank of Africa was sourced for through competitive bidding.

The project is scheduled to be commissioned in December 2011. This will be a Clean Development Mechanism (CDM) project and in addition to the ethanol production, the Board is looking at other opportunities that it can derive from the project such as sale of carbon credits. The company appreciates the government's initiative of legislating the blending of ethanol and gasoline.

Water Bottling Plant

The company identified water bottling as a viable project that fits well in its overall expansion strategy. The cogeneration plant commissioned at the end of the last financial year presented a viable

opportunity of bottling the excess water from its water treatment plant which has an estimated capacity of 16 million litres per year. The Board has approved the establishment of a water bottling plant that is expected to be completed by 30 June 2011.

Future Outlook

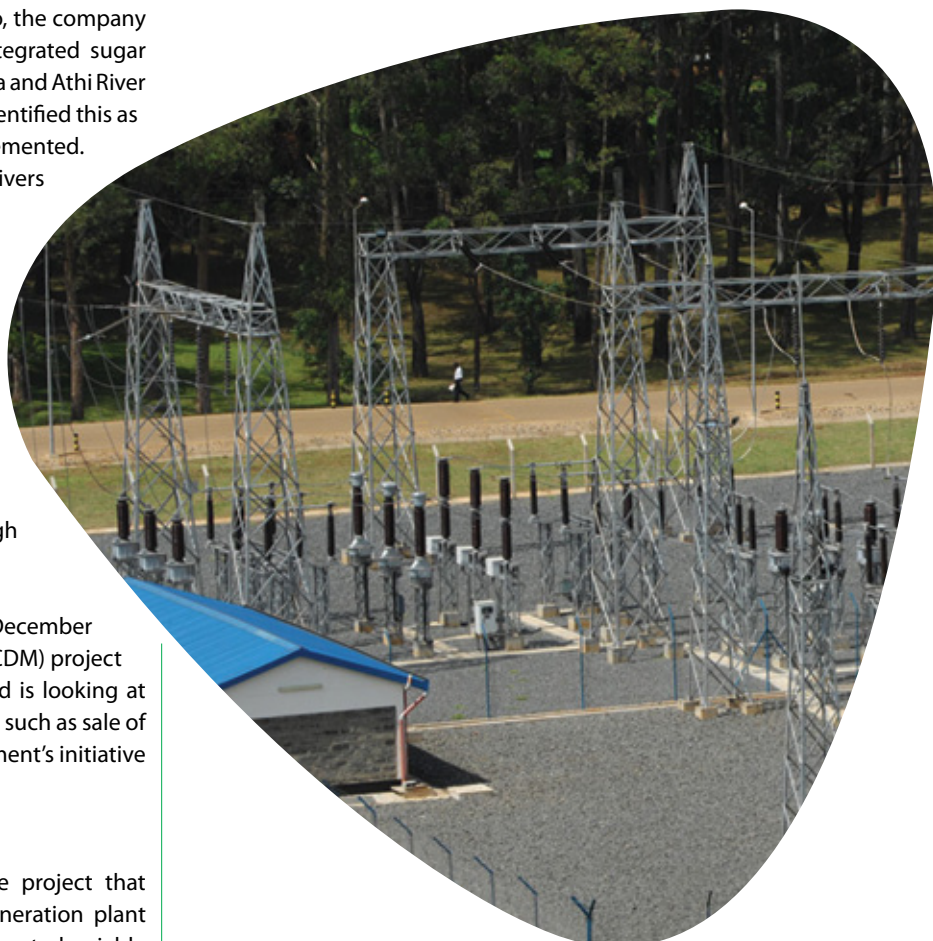
The company has an approved a Strategic Plan that is continually reviewed to ensure that the strategies in place will result in sustained profitability. The capital projects which are currently being undertaken are aimed at expanding the product portfolio for sustainability in the fast changing operating environment. The Board is cautiously optimistic of a satisfactory performance in the coming years.

CONCLUSION

On behalf of the Board, I wish to thank all our shareholders and stakeholders for your continued support. Your Directors will always endeavour to initiate strategies that will support the survival of your company in coming years.

Thank you.

John V. Bosse
Chairman





MR. JOHN BOSSE Mwenyekiti

Kwa niaba ya Halmshauri nzima ya Wakurugenzi, nina furaha kuwaletea ripoti ya mwaka ya 39 kuhusu shughuli za kibiashara za kampuni na matokeo ya kifedha katika kipindi cha mwaka uliomalizika Juni 30, 2010.

MATOKEO YA FEDHA

Matokeo ya fedha kipindi cha mwaka uliomalizika Juni 30, 2010 yalikuwa ni ya kuvutia ikilinganishwa na mwaka jana licha ya changamoto zilizoshuhudiwa wakati wa kipindi cha pili cha mwaka wa matumizi ya pesa. Kampuni ilipata faida kabla ya ushuru ya shilingi milioni 2,180 kiasi ambacho kilikuwa ongezeko la 83% zaidi ikilinganishwa na faida kabla ya kutozwa ushuru ya shilingi milioni 1,193 mwaka jana. Halmashauri inatoa shukrani kwa usimamizi kutokana na mafanikio yaliyopatikana.

SHUGHULI

Kampuni ilisaga tani 2,318,080 (2009 zilikuwa tani 2,161,031) za miwa kiasi ambacho kilikuwa ni ongezeko la 7.3% ikilinganishwa na mwaka jana. Ongezeko hili lilitokana na uwezo mkubwa wa kiwanda mwaka huu. Kiwanda cha miwa kilifanyiwa ukarabati mkubwa mwanzo wa kipindi cha mwaka cha matumizi ya pesa na kupelekea kuimarisha shughuli zake.

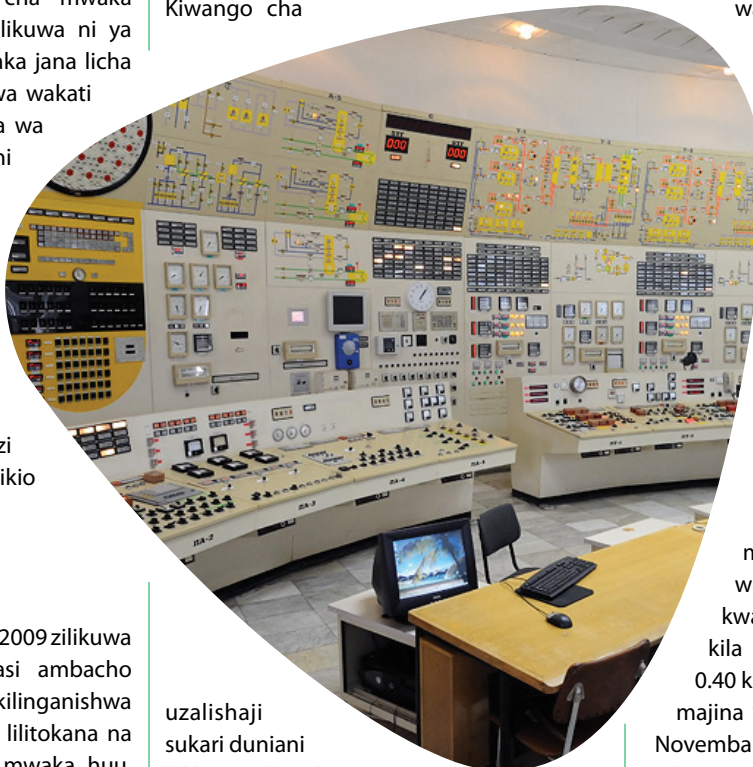
Kampuni ilitazamia kusaga miwa zaidi lakini ikasitishwa na uwepo wa mvua nyingi hasa kipindi cha pili cha mwaka wa matumizi ya pesa. Hali hii iliathiri shughuli za uvunaji na

uwasilishaji miwa kwani barabara nyingi katika maeneo kunakokuzwa miwa zilikuwa zimeharibika.

Wakati wa kipindi hiki, kampuni ilisaga tani 235,792 (2009: tani 231,041) za sukari kiwango ambacho kilikuwa 2% zaidi ikilinganishwa na mwaka uliotangulia. Mtambo wa uzalishaji kawi uliozinduliwa mwaka 2009 ulikuwa bado ukiunganishwa na kiwanda cha kusaga miwa na haukuweza kutekeleza shughuli zake kikamilifu. Kwa sasa, mtambo huu umeunganishwa kikamilifu na shughuli za kibiashara zilianza Mwezi Januari mwaka 2010. Intarajiwa kwamba, pindi mtambo huu utakapoanza kufanya shughuli zake kikamilifu, mapato yanayotazamiwa yatapatikana.

MAPATO

Mapato kwa jumla yalikuwa shilingi milioni 18,798 (2009: milioni 14,196) kiasi ambacho kilikuwa 32% zaidi ikilinganishwa na yale yaliyopatikana mwaka jana. Ongezeko hili lilitokana na bei nzuri ya mauzo ya sukari kipindi hiki cha mwaka. Kiwango cha



uzalishaji sukari duniani kilikuwa cha chini na kusababisha kuwepo kwa bei ya wastani ya uuzaji katika soko la humu nchini. Mapato pia yaliimarika kutokana na uuzaji wa kawi kutoka mtambo wa uzalishaji nguvu za umeme ambao ulileta jumla ya shilingi milioni 359 ikilinganishwa na milioni 13 mwaka wa 2009. Huu ulikuwa ni mwaka wa kwanza wa utekelezaji shughuli wa mtambo

mpya wa uzalishaji kawi na inatarajiwa kwamba mapato mengi yatapatikana miaka inayokuja.

MCHANGO KWENYE MAPATO YA SERIKALI

Kampuni inazidi kuwa mchangiaji mkubwa kwenye mfuko wa hazina ya serikali kupitia ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL) na ushuru mwingine. Wakati wa kipindi hiki cha matumizi ya pesa, kampuni ililipa zaidi ya shilingi milioni 3,600 (2009: milioni 2,800) kupitia ushuru wa ziada (VAT) na ushuru kwa maendeleo ya kilimo cha miwa (SDL) miongoni mwa ushuru mwingine.

FAIDA NA MAPATO KWA KILA HISA (EPS)

Kiwango cha faida kabla ya ushuru kiliongezeka kwa 83% kutoka shilingi milioni 1,193 mwaka uliotanguliwa hadi shilingi milioni 2,180. Faida baada ya ushuru ya shilingi milioni 1,572 ilipunguka kwa kiasi kidogo cha 2% ikilinganishwa na mwaka wa matumizi ya pesa uliotangulia. Wanahisa watakumbuka kwamba, katika kipindi cha mwaka uliotangulia, kampuni ilifaidika kutokana na kurudishiwa kwa ushuru kufuatia punguko la uwekezaji kwenye mtambo wa uzalishaji kawi.

Mapato kwa kila hisa ya shilingi 1.03 yalikuwa chini kwa shilingi 0.02 kwa kila hisa ikilinganishwa na mwaka uliotangulia.

MGAWO WA FAIDA

Kuna haja ya kuwa na hazina kwa miradi inayotarajiwa. Wakurugenzi wanapendekeza mgawo wa kwanza na wa mwisho wa 20% kwa kila hisa za kawaida ambao ni senti 0.40 kwa kila hisa kwa wanahisa ambao majina yao yamo kwenye rejista kufikia Novemba 5, 2010 saa kumi unusu jioni. Malipo ya mgawo wa faida yanategemea idhini la wanahisa.

UKAGUZI KISHERIA

Hesabu ya matumizi ya pesa ilifanyiwa ukaguzi na Deloitte & Touche na ikapitishwa bila pingamizi.

MTAZAMO

Biashara ya sukari

Bei ya sukari katika soko la ulimwengu imepungua kutoka Dola 700 na Dola 750 za marekani kwa kila tani katika kipindi cha kwanza cha mwaka hadi karibu Dola 500 na 600 kwa tani kipindi cha pili cha mwaka. Tunatarajia kwamba hali hii itaendelea hadi mwaka unaokuja.

Katika eneo la COMESA, bei ya sukari imebakia kuwa kiasi cha juu katika mwaka wa matumizi ya pesa huku mataifa yaliyozalisha kiwango cha ziada yakiweza kujizolea bei za juu kutokana na sukari yao. Sukari ambayo kwa kawaida huagizwa kutoka mataifa wanachama haikuwa ikipatikana kwani nyingi ilikuwa ikiuzwa katika mataifa mengine ambayo yalikuwa na upungufu uliotokana na kushuka kwa uzalishaji wa sukari ulimwenguni hivyo kupata bei za juu.

Biashara ya sukari nchini na eneo inatarajiwa kupata ushindani huku sheria zinazolinda soko la COMESA zikitarajiwa kumalizika mwaka 2012. Makampuni ya sukari yanatahitajika kupunguza gharama zao za uzalishaji na kupanua bidhaa zake ili kupata njia mpya za kujiipatia mapato.

Kampuni ya sukari ya Mumias inatarajia kuongeza uzalishaji wake wa sukari iliyopakiwa kwanza kufuatia kuzinduliwa kwa mtambo mpya wa upakiaji mwezi Septemba 2009. Pia, kampuni itanza kuongeza viungo kwenye baadhi ya sukari yake ili kuimarisha afya ya wateja.

Uzalishaji wa kawi

Kama ilivyotajwa hapo awali, mtambo mpya wa uzalishaji kawi umeendeshwa kwa mwaka wa kwanza wa matumizi ya pesa na kuleta matokeo ya kufaana licha ya changamoto zilizoshuhudiwa kipindi hiki. Kikwazo kilitokana na upatikanaji wa mara kwa mara wa mali ghafi hasa masalia (mabaki yanayotokana na miwa iliyosagwa) kutoka kiwanda cha sukari hadi kwenye mtambo ili kuzalisha kawi. Mtambo wa kawi haungeweza kuendeshwa taratibu kutokana na usumbufu wa uvunaji na uwasilishaji miwa kama ilivyoielezwa hapo awali.

Pia, kulikuwa na visa vya ulegeaji kutoka kampuni ya usamabaji umeme nchini (KPLC). Kampuni iko kwenye hatua za kukarabati upya mojawapo wa vichemshaji ili kuokoa matumizi ya mafuta na kuimarisha utendaji bora wa kazi k w e n y e kiwanda cha kawi.

Shughuli kwenye mashamba makubwa

Utegemeaji wa miwa inayoegemea mvua na wakulima wa mashamba madogo kwa uzalishaji wa miwa zimekuwa changamoto. Miaka mitatu iliyopita, kampuni ilifaulu kutekeleza utafiti wa ushirikiano wa uwekezaaji pamoja wa mradi wa sukari eneo la Tana Delta na mradi wa Tana and Athi River Development Authority (TARDA). Kampuni imetambua hili kuwa kama mradi wa kadri na wa muda mrefu utakaozinduliwa. Hili litatoa hakikisho kwamba kampuni inawapa thamani wanahisa wake na washika dau wengine.

Utengenezaji wa 'ethanol'

Utafiti uliofanywa kuhusu uwezekano wa kuanzisha kiwanda cha utengenezaji bidhaa inayotokana na mabaki ya miwa (ethanol) ambao ulianzishwa kipindi kilichopita cha mwaka wa matumizi ya pesa ulikamilika na mradi ukathibitishwa kuwa wenye faida. Kampuni iko kwenye hatua za awali za utekelezaji wa mradi huu. Mradi huu utafadhiliwa kupitia mchanganyiko wa madeni na umiliki. Mfadhili wa mkopo benki za Ecobank, Ned Bank na Commercial Bank of Africa ziliteuliwa kupitia zabuni iliyojaa ushindani.

Mradi huu unatarajiwa kufunguliwa rasmi mwezi Desemba mwaka 2011. Huu utakuwa mradi wa mtambo safi wa maendeleo (CDM) mbao licha na kuzalisha "ethanol" halmashauri inatathmini manufaa mengine ambayo yanaweza kupatikana kutokana nao kama vile uuzaji wa gesi ya kaboni (carbon). Kampuni inashukuru serikali kwa kuhalalisha utengenezaji wa 'ethanol' na 'gasoline'.

Kiwanda cha maji

Kampuni ilivumbua utengenezaji maji kama mradi unaoafikiana na mkakati wake wa upanuzi. Kiwanda cha pamoja kilichozinduliwa kipindi kilichopita cha mwaka wa matumizi ya pesa, kilitoa nafasi bora ya kutengeneza maji yanayosalia kutoka kiwanda chake cha kutakasa maji ambacho kinakadiriwa kuhifadhi hadi lita milioni 16 kila mwaka. Halmashauri imeidhinisha kiwanda cha kutengeneza maji ambacho kinatarajiwa kukamilika Juni 30, 2011.

Mtazamo wa siku za usoni

Kampuni ina mpango wa mkakati uliopitishwa ambao unafanyiwa tathmini ya mara kwa mara kuhakikisha kwamba mikakati iliyoko italetu manufaa ya kudumu. Miradi muhimu ambayo kwa sasa inazinduliwa inanuiwa kupanua aina mbali mbali za bidhaa kwa uthabiti katika mazingira ya utekelezaji shughuli yanayozidi kubadilika. Halmashauri ina matumaini makubwa ya kupatikana kwa matokeo ya kuridhisha miaka inayokuja.

HITIMISHO

Kwa niaba ya Halmashauri, ningependa kuwashukuru wanahisa wetu wote na washika dau kwa kuzidi kutuunga mkono. Daima, wakurugenzi wenu watazidi kujitolea kuanzisha mikakati ambayo itasaidia uwepo kwa kampuni yenu miaka inayokuja.

Asanteni

John V. Bosse
Mwenyekiti.





DR. EVANS KIDERO
Managing Director



MR PETER KEBATI
Head of Finance/
Chief Finance Officer



MR PAUL MURGOR
Head of Agriculture



MR WESLEY KOECH
Head of Information &
Communication Technology



MS MARIA K LIGAGA
Head of Human Resources



MR HUMPHREY MUSUMBA
Chief Internal Auditor



MR PETER HONGO
Ag. Head of Sales



EMILY K. OTIENO
Company Secretary



MR JONAH OMUYOMA
Head of Factory Operations



MRS PAMELA LUTTA
Head of Marketing



DR. EVANS KIDERO
Managing Director

ECONOMY

The economy grew at a rate of 5.7% against 1.7% the previous year. The economy grew in the second quarter of 2009 after two consecutive quarters of decline, underpinned by a rebound in the tourism sector, while headline inflation eased to below 10%. Sector by sector performances varied considerably with the hospitality sector achieving the highest growth of 24.2 percent reflecting a recovery in tourism. Drought caused electricity and water to record the largest contraction of 5 percent, though mild version of El Nino weather in seasonal rains started in October 2009 and did extend to 2010.

Kenya's budget for fiscal year 2010/11 was read against a backdrop of high inflation, slowing GDP growth and global recession. The budget intends to provide a stimulus to the economy through increased spending on social items and grass-root allocations. The budget, if realized, will be a stimulant to the economy. The success of the new constitution is expected to build confidence in the Economy leading to increased investments and better Economic Performance in the coming year.

The global economy is expected to recover from a negative 1.1% in 2009 to an expected 3.1% in 2010. This recovery is expected to drive economic resurgence in Africa during the year. The economic environment in the rest of the developed world will drive the African export volumes as well as foreign aid

and investment into the region. Recovery in global commodity prices drove African growth through 2009 to the current period in 2010.

SUGAR MARKET

Global market

Sugar prices have been rising for several months due to decline in supply in major sources. The second half of 2009 saw a near double rise in the global sugar prices with Indian and Brazilian production problems holding the potential to push prices even higher. 2008/2009 saw a huge deficit in the world sugar market, leading to strong support for world sugar prices. Sugar did not disappear from shelves due to surplus stocks from past years but depletion of stocks will lead to more volatility down the road in case of production problems.

As cane sugar production has a tendency to respond strongly to high prices, the market will probably return to a surplus in 2010/2011 and 2011/2012.

Production changes in 2010/2011 for the various producers are within these ranges; Brazil +13.0%, India at +37.0%, European Union at -7.0%, China +7.0% and Thailand closing at -4.0%. Brazilian sugar is the primary input for ethanol traded in world markets.

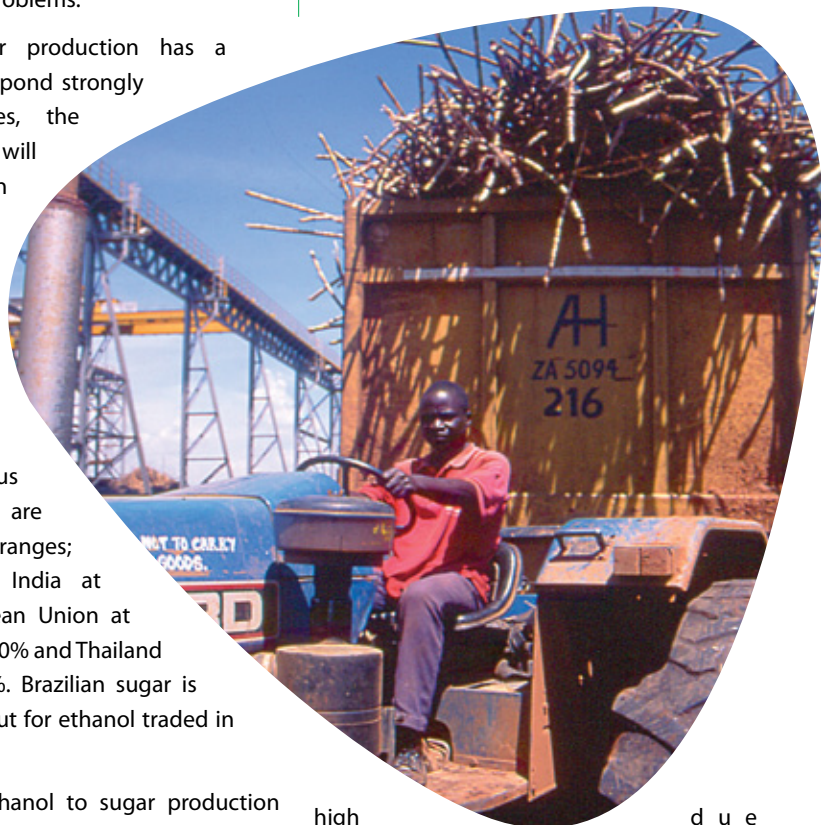
The ratio of Ethanol to sugar production changed from 43% to about 50% as result of demand for bio- fuels both for domestic and export market. South Africa's 2010/11 sugarcane output is seen falling below a previous forecast as large parts of growing areas in KwaZulu Natal are experiencing widespread drought, which could result in lower cane yields. This in effect will draw all the surplus quantities from the Southern African Customs Union (SACU) member countries that are also within COMESA

protocol.

The gradual rise in sugar prices appears unlikely to be offset in the near-term going by the current situations and the current fundamentals of the world sugar market. The high-price environment will continue for at least the next twelve months when the season in India and COMESA countries start next year in March/April. The current futures stand at about US Dollar 560 per ton and are likely to close at US Dollar 650 at year end.

Kenyan market

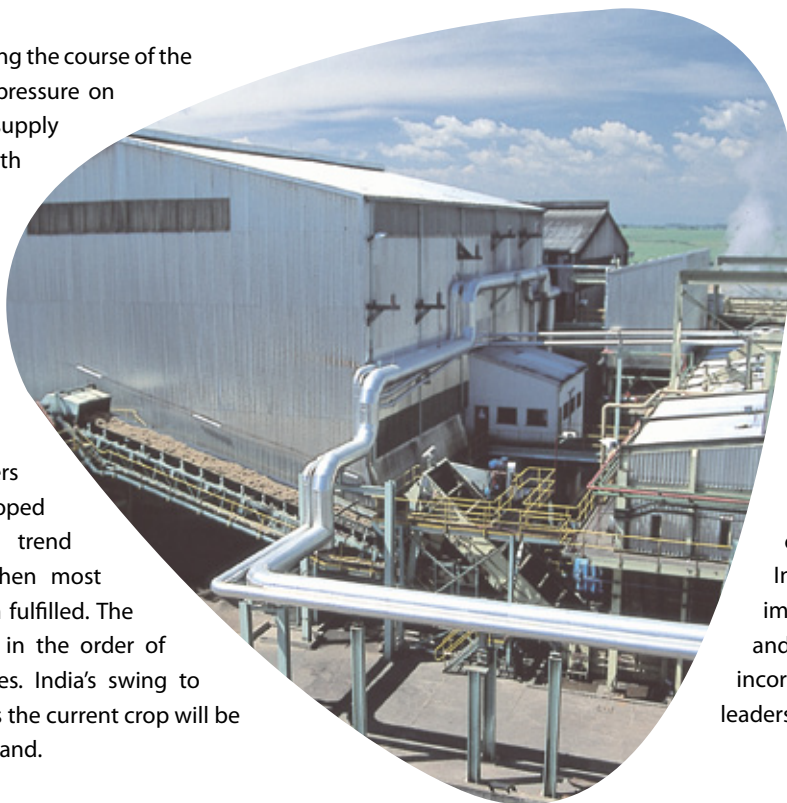
Demand for sugar within the Kenya market continued to rise year on year. There was no significant rebound in sugar production 2009-10 and nationwide inventory declined to low levels by the year-end. Domestic prices remained



high due to supply though no major volatility in consumer prices as a result of supply constraints.

Kenyan consumption remained stagnant at about 800,000 metric tonnes of sugar with all local sugar producers not able to meet the local demand for sugar. The shortfall in supply was through stock drawdown and imports both from COMESA and non COMESA countries. Regionally sugar dynamics did not

change significantly during the course of the year though there was pressure on the Kenyan market to supply the common market with same scenario expected to continue for the coming years. In the long term, Kenya will continue feeling the impact of tight global supplies as a net importer due to locked up supply orders from the Least Developed countries to EU. This trend extends till 2014/15 when most contracts will have been fulfilled. The EU trade swing will be in the order of 2.5 million metric tonnes. India's swing to importation is unlikely as the current crop will be able to sustain their demand.



leaders in management of field operations on the Outgrowers was started which is expected to improve communication with the growing community.

Training for both field staff and farmers was carried out extensively. MSC Staff were trained to guarantee uniformity in the method of cane census/ yield estimates Field Assistants, Field Supervisors and Zonal Managers were trained on the census module. Agriculture Quality Inspectors were also trained. To improve on the liaison between farmer and MSC, the concept of Area leaders' incorporation was executed and Area leaders from MSC Zone were trained.

AGRICULTURE

For the financial year, cane supplied to the factory was 2,318,080 (2009 - 2,161,031). Extreme wet conditions were experienced resulting in substantial damage to the road network and increased cost of haulage of cane. Total rainfall received during the financial year stood at 2,798 mm against the long term mean of 2,003 mm.

Cane poaching continued across the sugar belt with most of the cane being taken to competitor companies. Cane fires were generally low on both the Nucleus Estate and out-grower farms as compared to the previous year. Cane yields were low in most parts of the year at an average of 57 tonnes cane per hectare. Significant improvement has been witnessed in the 2 months of 2010/11 at 62 tonnes cane per hectare. If this trend continues, then we expect the performance of the crop to improve as we get into mid of 2010/11, i.e. December 2010. A total of 1,041 ha was burnt in the year. This was a slow down compared to the previous year where 5,402 ha was burnt. A total of 2,602 ha was poached in the year. This figure is quite high compared to the previous year where a total of 1,533 ha was poached.

Though land preparation (plough) surpassed the annual budget during the financial year, reduced machine availability for harrowing and furrowing posed quite a challenge leaving a backlog of approximately 2,800 ha. Planting targets were not achieved due to reduced harrow capacity. Mumias Sugar Company (MSC) took a strategic decision to acquire its own fleet of 5 harrows.

Fertilizer supply was adequate apart from few months when the company ran out of Urea (September 2009) and DAP (April-May 2010). Cane area expansion was also started in the Teso area of Busia zone where 6,000 ha is targeted by end of 2012. Two cane transport contractors, MOCO and Ntulele dropped off due to lack of fuel while Surjit Singh had serious labour problems. Engagement of Area/Block

FACTORY OPERATIONS

A total of 235,792 tonnes of sugar was produced (2009 - 231,014). Of this, 123,183 tonnes was produced in the first half, against a budget of 123,372. Sugar production in the first year was higher than budget. The second half of the year was adversely affected by cane unavailability and poor quality which called for extra amounts of steam, extra utilization of capacity among other measures.

SALES PERFORMANCE AND REVENUE

Gross turnover is Shs 18,798 million (2009 - Shs 14,196 million) which is 32% above that achieved last year. This is attributed to better sugar selling prices attained during the year. The global supply of sugar has been low resulting in above average selling prices during the year in the local market.

Revenue was also enhanced by the sale of power from co-generation plant which generated a gross revenue of Shs 359 million (2009 - Shs 13 million).

This was the first year of operation of the plant and it is expected to generate more revenue in coming years apart from enhancing the efficiency of the sugar plant through better quality steam and power supply. Bulk sugar accounted for 76.3% while branded sugar accounted for 23.7%. Export sugar sold under the ACP protocol was 664 metric tonnes being the balance of the previous contract. There were no exports within the region due to the ban by the Ministry of Agriculture.

Distribution cost per tonne was Shs 2,788 for the current year, compared to the previous year's figure of Shs 2,872 per metric ton, a reduction of 3%. A contributing factor to the reduction is

MANAGING DIRECTOR'S REPORT (Continued)

attributed to direct sales deliveries to the customers. During the year, an improvement on customer statement delivery was implemented from manual to electronic dispatch. A warehouse was opened in Kisumu in an effort to make the products easily available to the customers in Nyanza area, a region which is very competitive.

MARKETING AND CORPORATE AFFAIRS

The Company utilised both above the line and below the line avenues to build long term value adding interaction with various consumer targets. The Company sponsored various events including the Kenya Music Festival, Rugby Super Series and various sports events to drive our brand visibility.

Corporate Communication utilised various channels to sustain MSC stakeholder engagement, communication and information flow on the company's initiatives, corporate vision and business direction.

The Company

activities and World Environment Day. MSC donated 100,000 tree seedlings for this initiative and a further 123,000 to employees and farmers. National initiatives on afforestation were also supported including the Rhino Ark Challenge which fundraises for conservation of the Aberdare forest.

MSC contributed to health programs through various initiatives including an eye clinic where over 1,800 patients were attended to. The company also supported other health initiatives by contributing towards Operation Ear Drop, UNICEF programs as well as the Diabetes Kenya Association.

The company also joined Mumias Community in raising funds for the Mater Heart Run. An eye camp fully sponsored by Mumias was held at our Sports Complex where over 1,627 people from the community were attended to with 57 being transferred for operations at Sabatia Eye Clinic.

MSC contributed to better education facilities through support to infrastructure in various schools within the Mumias Cane Zone. This included St Peters Lubanga, St Peters Mumias, St Kizito Lusumu and Eshikalame High School.

HUMAN RESOURCE MANAGEMENT

The staff establishment closed at 1,523 employees as compared to 1,700 in the financial year 2009 thus declining by 10%.

The reduction in permanent staff was due to retirement, while we intentionally scaled down on the use of contracted labour.

The Company embraced performance management through the utilization of an e-performance management tool where all management objectives were keyed in.

The relationship between management and the union was harmonious with the usual

consultations on the Collective Bargaining Agreement (CBA) and welfare matters. For the first time in the history of the Company, we rolled out a CBA awareness campaign to both management and unionisable employees where pocket size booklets were distributed to enhance awareness of issues articulated in the CBA and related documents. Human Resources department in conjunction with the Federation of Kenya Employers (FKE) conducted trainings for management and the union staff on dispute resolution and grievance handling to advance understanding of labour laws procedures and practices. Further, the training was spread out to cane cutters to build their understanding on grievances and dispute matters.

The company, with support from PricewaterhouseCoopers (PwC) undertook a 14 weeks competitiveness of MSC. Their mandate includes analysing the need and areas for change, risks associated with not changing and proposing the change process.

Targeted staff development took place to enhance core capabilities to ensure that staff possess required skills for effective performance and maintenance of best practice skills. On the technical side, trainings for factory and agriculture staff took place in best-practice markets in-country and overseas. On the management of people, coaching was a focus area and senior managers attending sessions delivered by a recognized provider. The company continues to offer welfare facilities and Medicare to employees and eligible dependants to ensure a healthy and motivated Human Capital. We continued to provide housing and recreational facilities such as clubs and the Sports Complex to enhance social welfare. Renovation of the guest house and identification of a supplier for a gymnasium commenced.

During the period under review, safe working procedures were reviewed and implemented which resulted in general reduction in accident occurrences. The company has engaged in the HIV awareness campaign through posters and sign posts in the estate to minimize the spread of the scourge.

supported various community initiatives under its CSR programme.

The support was done under the focus areas both at cane zone level and national level as follows.

MSC partnered with Provincial and District Forestry Departments in afforestation



MANAGING DIRECTOR'S REPORT (Continued)

INFORMATION AND COMMUNICATIONS TECHNOLOGY

The Agricultural Management System (AMS) was very stable over the period with some enhancements implemented to meet user-needs and system controls. Several training sessions were conducted including: Projects Management, SAP Workflow, AMS user refresher, SAP Solution Manager, and ICT Security. Business Benefits tracking was progressed and by the close of the year, process owners reported 95% and 80% benefits for AMS and SAP respectively.

In order to enhance reliability, meet remittance requests from other institutions on behalf of farmers, extract more value from SAP as it facilitates process flows in the system environment several projects were undertaken. During the period under review, projects that were completed and cut over into productive use included SAP workflow, SAP segment reporting, WAN links migration from VSAT to Optic-Fibre cable, AMS 3rd party accounting, Product Costing, E-Performance management, Electronic Funds transfer for farmers payments.

STRATEGY AND FUTURE OUTLOOK

Electricity Generation

The new cogeneration plant has been operated for its first full financial year and yielded commendable results given the challenges experienced in the period. The constraint was primarily in availing a constant flow of raw materials mainly bagasse (a by-product of sugar cane processing) from the sugar plant to the power plant to generate electricity. The power plant could not be operated smoothly due to cane disruption of harvesting and haulage programmes occasioned by exceptionally heavy rains resulting in lower than expected bagasse (fuel). There were also cases of reduced off-take by Kenya Power and Lighting Company. The company is in the process of refurbishing one of the old boilers to save on fuel consumption and improve efficiency of the power plant.

Greenfield Operations

Reliance on rain-fed sugar cane and small holder grower farms as a way of obtaining its sugar cane for processing introduces concentration risks on the long term sustainability of the business. Three years ago, the company successfully completed a feasibility study on an integrated sugar project in the Tana River delta in collaboration with Tana and Athi River Development Authority (TARDA). The company has identified this as one of the medium to long term projects to be implemented. This will ensure the company sustainably delivers value to its shareholders and the other stakeholders. The government is also expected to support and enhance the implementation of the project in line with Vision 2030 on development of river deltas and basins.

Ethanol

The feasibility study on the viability of setting up an Ethanol Plant in Mumias that was initiated in the last financial year was completed and the project confirmed to be viable. The company is in the initial stage of implementing the project. It will be financed through a mixture of debt and equity. The debt financier has been identified

and the loan is being progressed.

The project is scheduled to be commissioned in December 2011. The company will support compliance with the government legislation requiring petrol sold in the Kenyan market to be blended with ethanol. However this will require enabling legislation for sustained viability.

Water Bottling Plant

The company identified water bottling plant as a viable project that fits well in its strategy. The cogeneration plant commissioned at the end of the last financial year presented a viable opportunity of bottling the excess water from its water treatment plant which has an estimated capacity of 16 million litres per year. This is expected to be completed by 30 June 2011.

CONCLUSION

On behalf of the management team at Mumias, I wish to thank the Board for its untiring guidance and direction. I also wish to express my appreciation to the entire staff for their dedication and hard work, our loyal farmers for their support, our customers and consumers for choosing Mumias as their brand of choice and all other stakeholders for their support.

The year ahead is challenging but I believe with the commitment demonstrated by all stakeholders we shall be able to overcome challenges and return better results.

Thank you.

Dr. Evans Kidero
Managing Director





DKT. EVANS KIDERO (53)
Meneja Mkurugenzi

Uchumi

Uchumi ulimarika kwa kiwango cha 5.7% dhidi ya 1.7% mwaka uliotangulia. Uchumi ulimarika muhula wa pili wa mwaka baada ya kushuka kwa vipindi viwili mfululizo kutokana na kunawiri kwa sekta ya utalii na kushuka kwa mfumuko wa bei chini ya asilia kumi. Matokeo ya sekta kwa sekta yalitofautiana sana huku mahoteli na mikahawa yakirekodi ukuaji wa juu wa 24.2% na kuashiria kuinuka kwa biashara ya utalii. Kama si kutokea kwa athari za hali ya hewa zilizoathiri kilimo na uzalishaji wa nguvu za umeme, kiwango cha ukuaji wa uchumi kingekuwa cha juu. Ukame ulisababisha viwango vya kawira na maji kurekodi upungufu wa 5% ingawa kulikuwa na mvua ndogo za El Nino msimu wa mvua za kawaida zilizoanza mwezi Oktoba 2009 na kuendelea hadi mwaka 2010.

Bajeti ya Kenya kwa kipindi cha mwaka 2010/11 ilisomwa huku kukiwa na mfumuko mkubwa wa bei za bidhaa na kudidimiza kiwango cha ukuaji na kudorora kwa uchumi wa dunia. Bajeti inatazamia kuchochea ukuaji wa uchumi kupitia ongezeko la matumizi ya bidhaa na pesa zilizotengewa ukuaji mashinani. Endapo bajeti hii itafanikiwa, itachochea ukuaji wa uchumi. Kupatikana kwa katiba mpya kutatarajiwa kuleta matumaini ya uchumi na kupelekea kupanuka kwa uwekezaji na matokeo bora ya uchumi mwaka unaokuja.

Uchumi wa dunia unatarajiwa kuimarika kutoka 1.1% mwaka 2009 hadi 3.1% mwaka 2010. Uimarikaji huu unatarajiwa kufufua uchumi wa bara la Afrika kipindi hiki cha mwaka. Viwango vya uuzaji katika mataifa ya Afrika vitategemea mazingira ya uchumi kwenye mataifa mengine yaliyoendelea pamoja na misaada ya kigeni na uwekezaji eneo hili. Uimarikaji wa bei za bidhaa duniani ulichochea ukuaji wa bara Afrika kipindi chote cha mwaka 2009 hadi kipindi hiki cha mwaka 2010.

SOKO LA SUKARI Soko la kimataifa

Bei ya sukari imekuwa ikipanda kwa muda wa miezi kadhaa kutokana na kushuka kwa usambaji wake katika maeneo mengi inakopatikana. Kipindi cha pili cha mwaka 2009 kilishuhudiwa kupanda kwa karibu maradufu kwa bei za sukari duniani huku matatizo ya uzalishaji katika mataifa ya India na Brazil yakichochea bei za sukari kupanda hata zaidi. Kipindi cha



2008/2009

kilishuhudia upungufu mkubwa wa sukari ulimwenguni na kutoa sababu muhimu kwa bei za sukari duniani. Sukari haikukosekana madukani kutokana na hifadhi ya miaka iliyopita lakini kupungua kwa bidhaa kutasabisha mabadiliko zaidi endapo kutakuwa na matatizo ya uzalishaji.

Huku uzalishaji wa sukari ukiegemea bei za juu, huenda soko likarejelea uzalishaji wa ziada kipindi cha mwaka 2010/2011 na 2011 hadi 2012. Mabadilikio ya uzalishaji

mwaka 2010 na 2011 kwa wazalishaji mbali mbali yamo kwenye viwango hivi: . Brazil + 13.0%, INDIA + 37.0% Umoja wa Bara ulaya – 7.0%, China + 7.0 % na Thailand ikifunga kwa -4.0%. Sukari ya Brazil huchangia utengezaji wa *ethanol* inayouzwa kwenye masoko ya ulimwengu na kuziba pengo la tani milioni 3.1 katika Jumuiya ya Ulaya.

Uwiano baina ya uzalishaji wa sukari na *Ethanol* ulibadilika kutoka 43% hadi karibu 50% kutokana na kupanda kwa mahitaji ya mafuta yanayotokana na mabaki ya mimea kwa matumizi ya nyumbani na uuzaji kwenye masoko. Uzalishaji wa miwa Afrika Kusini mwaka 2010/11 unaonekana kushuka tofauti na utabiri wa awali kwani maeneo yanayokuza miwa kwa wingi ya KwaZulu Natal yanashuhudia hali ya kiangazi kikubwa ambayo inaweza kusababisha kupunguka kwa mavuno. Hali hii itasababisha viwango vya ziada kutoka mataifa wanachama wa SACU ambayo pia yamo kwenye mkataba wa COMESA.

Kupanda haraka kwa bei za sukari kunaokana kutosawazishwa hivi karibuni ikilinganishwa na hali ya sasa na kwenye soko la sukari ulimwenguni. Mazingira ya bei za juu yataendelea kwa muda wa miezi kumi na miwili ijayo wakati msimu wa India na mataifa ya COMESA utakapoanza mwaka ujao mwezi Machi na Aprili. Hali ya sasa inasimamia Dola 560 kwa kila tani na huenda ikafikia Dola 650 mwishoni mwa mwaka.

Soko la Kenya

Hitaji la sukari katika soko la Kenya linazidi kupanda mwaka baada ya mwaka. Hakukuwa na mabadiliko katika uzalishaji wa bidhaa hii mwaka 2009/10 na hesabu ya taifa ilishuka kwa viwango vya chini kufikia mwisho wa mwaka. Bei za humu nchini zilikuwa za juu kutokana na usambazaji ingawa hakukuwa na mabadiliko makubwa kwenye bei za masoko kutokana na vikwazo vya usambazaji.

Matumizi ya humu nchini yalisalia kuwa metriki tani 800,000 za sukari huku wazalishaji wote wa sukari wakishindwa kukabiliana na hitajiko la bidhaa hiyo. Pungufu la usambazaji lilitokana na kushuka kwa bidhaa na uagizaji kutoka mataifa wanachama na wasio wanachama wa COMESA. Hali ya sukari haikubadilika sana kipindi hiki cha mwaka ingawa kulikuwa na shinikizo kutoka soko la Kenya kusambaza bidhaa kwenye masoko hali inayotarajiwa kuendelea miaka inayokuja.

Kwa kipindi kirefu, Kenya itazidi kuathirika na usambazaji duni duniani kutokana na masharti ya ugizaji kutoka mataifa ambayo hayajaendelea sana hadi Umoja wa Ulaya. Hali hii itaendelea hadi mwaka 2014/15 wakati kandarasi nyingi zitakapokuwa zimekamili. Hali ya biashara katika Umoja wa Ulaya itakuwa baina ya metriki tani 2.5. Mwenendo wa India katika uagizaji hautarajiwi kwani zao la sasa linatarajiwa kuhimili mahitaji yake.

MAZINGIRA YA UTENDAJI KAZI

Kwa jumla, mazingira ya utendaji kazi yanabaki kuwa na changamoto. Ingawa fedheha za kisiasa hazijashuhudiwa siku za hivi karibuni, athari za ghasia za hapo awali zingali zinashuhudiwa. Sehemu iliyoathiriwa sana ni ile ya uzalishaji wa miwa wakati wakulima waliposhawishiwa kung'oa mimea yao.

KILIMO

Miwa iliyowasilishwa kiwandani kipindi hiki cha mwaka wa matumizi ya pesa ilikuwa tani 2,318,080 (2009 - 2,161,031). Hali kubwa ya unyevu ilishuhudiwa na kuharibu mtandao wa barabara na kuongeza gharama za usafirishaji wa miwa. Kiwango cha jumla cha mvua iliyopokewa kipindi hiki cha mwaka kilikuwa milimita 2,798 dhidi ya kiwango cha wastani cha muda mrefu cha milimita 2003.

Wizi wa miwa ulizidi eneo lote kunakokuzwa miwa huku nyingi iliyoibwa ikiwasilishwa kwenye makampuni shindani. Visa vya moto vilipungua katika mashamba ya Nucleus Estate na Out Growers ikilinganishwa na mwaka uliotangulia. Mavuno ya miwa yalikuwa chini kwa kiwango cha wastani cha TCH 57.0 vipindi vingi vya mwaka.

Ufanisi mkubwa umeshuhudiwa miezi miwili ya mwaka 2010/11 kwa 62 TCH. Endapo hali hii itaendelea, basi tunatarajia kuimarika kwa matokeo ya mmea tunapoingia katikati mwa mwaka 2010/11 yaani Mwezi Desemba 2010. Jumla ya hekta 1,041.32 za miwa ziliteketee kipindi hiki cha mwaka. Hiki kilikuwa kiwango cha chini

ikilinganishwa na mwaka uliopita ambapo hekta 5402 za miwa ziliteketee. Jumla ya hekta 2,602.02 za miwa ziliibwa kipindi hiki cha mwaka. Kiasi hiki ni kikubwa ikilinganishwa na mwaka uliotangulia ambapo jumla ya hekta 1533 ziliibiwa.

Ingawa matayarisho ya ardhi yalizidi bajeti ya mwaka kipindi hiki cha mwaka wa matumizi ya pesa, uhaba wa mashine kwa utayarishaji na upalilaji mashamba ulisababisha changamoto kubwa na kuacha pengo la karibu hekta 2800. Viwango vya upanzi vilivyotarajiwa vilipungua kutokana na uwezo wa utayarishaji mashamba. Kampuni ya MSC ilizindua wazo la mkakati wa kumiliki mashine 5 za utayarishaji mashamba.

Usambazaji wa mbolea ulikuwa wa kutosha isipokuwa miezi michache tulipopata upungufu wa Urea (Mwezi Septemba 2009) na DAP (Aprili-Mei). Upanuzi wa mashamba ya upanzi miwa umeanzishwa maeneo ya Teso na Busia ambapo hekta 600 zinalengwa ifikiapo mwisho wa mwaka 2012.

Wanakandarasi wawili wa uchukuzi MOCO na Ntulele walijiondoa kutokana na ukosefu wa mafuta huku Surjit Singh akikabiliwa na

matatizo makubwa ya uajiri. Uhusishaji wa viongozi kutoka Area/Block katika usimamizi wa shughuli za mashamba ya Outgrowers ulianzishwa na unatarajiwa kuimarisha mawasiliano na jamii za wakuzaji.

Utoaji mafunzo kwa maafisa nyanjani na wakulima yalitolewa. Maafisa wa kampuni ya MSC walipewa mafunzo ya uhakiki sawa kuhusu mbinu za kuhesabu miwa/ makadirio ya mavuno. Maafisa wasaidizi nyanjani, wasimamizi wa mashamba na mameneja wa zoni walipewa mafunzo kuhusu vipimo vya kuhesabu. Wakaguzi wa ubora wa kilimo pia walipewa mafunzo. Ili kuimarisha mawasiliano baina ya wakulima na MSC, wazo la kuwashirikisha viongozi lilianzishwa na viongozi wa eneo kutoka kanda ya MSC wakapewa mafunzo.

SHUGHULI ZA KIWANDA

Jumla ya tani 235,792 (2009 - 231,014) za sukari zililishwa. Kati ya tani hizi, tani 123,182.87 zililishwa kipindi cha nusu mwaka dhidi ya bajeti ya tani 123,372. 37. Uzalishaji wa sukari mwaka wa kwanza ulikuwa wa juu dhidi ya bajeti. Kipindi cha pili cha mwaka kiliathiriwa vibaya na uhaba wa miwa na viwango duni vilivyopelekea mahitaji zaidi ya mvuke, matumizi ya ziada ya uwezo miongoni mwa hatua nyingine.



MATOKEO YA MAUZO NA MAPATO

Mapato kwa jumla yalikuwa shilingi milioni 18,798 (2009 - shilingi milioni 14,196) ambayo yalikuwa 32% zaidi ikilinganishwa na mwaka jana. Matokeo haya yalitokana na bei nzuri za mauzo zilizopatikana kipindi hiki cha mwaka. Usamabazaji wa sukari kimataifa umekuwa wa chini na kusababisha kiwango cha juu cha wastani cha bei za mauzo kwenye soko la humu nchini.

Mapato pia yaliimarishwa kutokana na uuzaji wa kawi iliyotokana na mtambo wa kuzalisha nguvu za umeme ambao ulileta jumla ya shilingi milioni 359 (2009 - milioni 13).

Huu ulikuwa ni mwaka wa kwanza wa utekelezaji shughuli wa mtambo wa uzalishaji kawi na unatarajiwa kuzalisha mapato zaidi miaka inayokuja bali na kuimarisha utendaji kazi wa kiwanda cha kusaga miwa kupitia ubora wa hali ya juu wa mvuke na usamabaji nguvu za umeme.

Kiwango cha wingi wa sukari kilisimamia 76.3% huku sukari iliyopakwa na kufungwa ikiwakilisha 23.7%. Sukari iliyouzwa chini ya mkataba wa ACP ilikuwa metriki tani 664.0 hili likiwa ni salio la mkataba uliopita. Hakukuwa na uuzaji katika kanda kutokana na marufuku iliyowekwa na wizara ya kilimo. Gharama za usambazaji kwa kila tani zilikuwa Kshs.2,788 katika kipindi cha mwaka kilichomalizika 2009/2010 ikilinganishwa na mwaka 2008/2009 cha shilingi 2,872 kwa kila metriki tani kiasi ambacho kilikuwa chini kwa 3%. Jambo lililochangia kupunguka lilitokana na mauzo ya moja kwa moja kwa wateja. Wakati wa kipindi hiki cha mwaka, kulikuwa na imarisho la utoaji taarifa kwa wateja kutoka matumizi ya mkono hadi matumizi ya elektroniki. Ghala la uhifadhi sukari lilifunguliwa mjini Kisumu kama juhudi za kuwafanya wateja kufikia bidhaa kwa urahisi sehemu ya Nyanza, eneo lenye ushindani mkubwa.

UVUMISHAJI NA MASWALA YA USHIRIKA

Kampuni iliwekeza mtaji katika utafiti wa masoko ili kufahamu mahitaji ya wateja

na hali ya masoko, nafasi za masoko, pengo, ushindani na kuimarisha hali ya bidhaa. Matokeo ya utafiti yametumika kama mwongozo wa uvumishaji bidhaa na mikakati ya usambazaji kipindi cha mwaka 2010/11 cha matumizi ya pesa. Kampuni ilitumia utafiti wa matokeo ya wateja kuanzisha kampeini mpya za matangazo.

Kampuni ilitumia tafiti hizi matokeo ya juu na chini kubuni mwingiliano wa muda mrefu na watumizi mbali mbali. Kampuni ilifadhili shughuli mbali mbali zikiwemo tamasha za mziki, mashindano ya raga ya Rugby Super Series miongoni mwa michezo mingine kwa lengo la kuimarisha uwepo wa bidhaa zetu masokoni.

Mawasiliano ya shirika yalitumia njia mbali mbali kudumisha ushiriki wa MSC kwa washikadau, mawasiliano na habari kuhusu mikakati ya kampuni, maono ya kampuni na mwelekeo wa kibiashara.

Kampuni iliunga mkono mikakati mbali mbali ya kijamii chini ya mpango wa wajibu wake kwa jamii. Msaada huu ulitekelezwa kwa kuangazia maeneo kunakokuzwa miwa na viwango vya kitaifa kama ifuatavyo:-

MSC ilishirikiana na idara za misitu mkoani na wilayani kushiriki shughuli za uhifadhi misitu na siku ya mazingira ulimwenguni. MSC ilitoa mchango wa miche 100,000 za miti kwenye mikakati huu na miche mingine 123,000 kwa wafanyakazi na wakulima. Mikakati ya kitaifa kuhusu uhifadhi wa misitu pia iliungwa mkono ukiwemo wakfu wa Rhino Ark ambao hukusanya pesa kwa uhifadhi wa msitu wa Abardare.

MSC ilitoa mchango kwa huduma za afya kupitia mikakati mbali mbali ikiwemo kliniki ya macho ambapo zaidi ya wagonjwa 1800 wa macho walihudumiwa. Pia, Kampuni ilisaidia mpango wa afya bora kwa wakenya na ikatoa mchango kwa mpango wa UNICEF na shirika la kupambana na ugonjwa

wa sukari la Kenya Diabetes Association. Kampuni ilijiunga pia na jamii ya wakazi wa Mumias kuchangisha pesa kwenye mbio za Mater Run. Kampi ya macho iliyofadhiliwa kikamilifu na Mumias ilifanyika katika uwanja wa Michezo wa Mumias Complex ambapo zaidi ya watu 2000 kutoka jamii ya wakazi ilihudhuria huku, 80 kati yao wakisafirishwa kufanyia upasuaji katika kliniki ya macho ya Sabatia.

Kampuni ya MSC ilitoa mchango wake wa vifaa bora vya masomo ili kusadia miundo msingi miongoni mwa shule mbali mbali eneo la ukuzaji miwa la Mumias. Shule hizi zilikuwa ni pamoja na St. Peters Lubanga, St. Kizito Lusumu na Eshikalame High School.



USIMAMIZI WA KITENGO CHA UAJIRI KAZI

Idadi ya wafanyakazi ilikuwa 1,523 ikilinganishwa na 1,700 mwaka wa 2009 hesabu iliyoshuka kwa 10%. Kushuka kwa idadi ya wafanyakazi wa kudumu kulitokana na kustaafu huku tukipunguza matumizi ya wanakandarasi. Kampuni ilihamasisha usimamizi wa matokeo yake kupitia

matumizi ya mfumo wa *e-performance* ambapo malengo yote ya kampuni yalikuwa yamenukuliwa. Uhusiano baina ya usimamizi na chama kinachowakilisha maslahi ya wafanyakazi ulikuwa mzuri chini ya mashauriano ya mara kwa mara kuhusu makubaliano ya pamoja ya kibiashara (CBA) na maswala ya kimaslahi. Kwa mara ya kwanza katika historia ya kampuni, tulizindua kampeini ya CBA kwa wasimamizi na wafanyakazi wanachama ambapo vijitabu vidogo vilisambazwa kuhamasisha ufahamu kuhusu makubaliano ya kibiashara na maswala husika. Kwa ushirikiano na shirika la waajiri kazi la Kenya (FKE) tuliandaa mafunzo kwa wasimamizi na wafanyakazi wanachama wa chama kinachowakilisha maslahi ya wafanyakazi kuhusu usuluhishaji wa mizozo na kushughulikia malalamiko ili kuhamasisha ufahamu wa taratibu na mbinu za sheria za leba. Zaidi ya hayo, mafunzo haya yalisambazwa kwa wakataji wa miwa ili kuimarisha ufahamu wao kuhusu malalamiko na suluhu la mizozo.

Kupitia usaidizi kutoka *PricewaterhouseCoopers (PwC)* kampuni ilitekeleza mpango wa majuma 14 wa kupunguza gharama ili kutambua maeneo katika kilimo, usimamizi wa wafanyakazi na Idara nyingine za kibiashara ambapo gharama za uendeshaji shughuli zingepunguzwa huku huduma zikiimarishwa.

Tathmini ya kuangazia utendaji kazi ilifanywa ili kutambua taaluma zetu na kuweka wafanyakazi katika maeneo wanayofaa. Zaidi ya hayo, warsha ya usimamizi wa taaluma ilifanywa mjini Naivasha ili kuanzisha utamaduni utakaokubali mipango ya urithi na uimarsishaji vipawa kama sehemu ya biashara miongoni mwa mameneja wakuu. Timu iliyohusisha maafisa sita ilibuniwa kutambua maeneo yanayohitaji kufanyiwa mabadiliko ili kuimarisha matokeo na kuhakikisha ushindani wa kampuni ya MSC. Wajibu wao ulikuwa kutathmini mahitaji na maeneo yanayohitaji mabadiliko, hatari zinazoweza kutokea kutokana na kutofanywa mabadiliko na kupendekeza hatua za mabadiliko.

Mradi uliolenga maendeleo ya wafanyakazi ulifanyika ili kuimarisha uwezo na kuhakikisha kwamba wafanyakazi wana ujuzi unaohitajika ili kufanikisha mafanikio ya haraka. Kwa upande wa kiufundi, mafunzo kuhusu mbinu zinazofaa katika masoko ya humu nchini na kimataifa yalitolewa kwa maafisa wanaofanya kazi kiwandani na kilimo. Kuhusu usimamizi wa watu, mafunzo ya undani yaliangaziwa na mameneja wakuu wakapewa mafunzo yaliyotolewa na kampuni inayotambulika.

Kampuni inazidi kutoa vifaa vya maslahi na matibabu kwa wafanyakazi na warithi ili kuhakikisha uwepo kwa wafanyakazi waliohamasishwa na wenye afya. Tulizidi kutoa huduma za makao na burudani kama

vile vilabu na kiwanja cha michezo ili kuimarisha maslahi ya kijamii. Ukarabati wa vyumba vya wageni na uteuzi wa mtoa huduma kwa ukumbi wa michezo ya viungo ulianza.

Wakati wa kipindi hiki kinachoangaziwa, hatua za kujihami zilifanyiwa ukaguzi na kuanzishwa na kupelekea kupunguka kwa visa vya ajali. Kampuni imejiingiza katika kampeini za ufahamu kuhusu virusi vya HIV kupitia mabango na milingoti ili kupunguza usambazaji wake.

TEKNOLOJIA YA HABARI NA MAWASILIANO

Mfumo wa Usimamizi wa Kilimo (AMS) ulikuwa thabiti katika kipindi hicho kukiwa na mabadiliko kadha yaliyotekelezwa kuupa nguvu ili uweze kukidhi mahitaji ya watumizi na udhibiti. Kuliandaliwa awamu kadha za mafunzo zikiwemo: Usimamizi wa Miradi, Mtiririko wa kazi wa SAP, uwekaji nguvu mpya kwa watumizi kupitia AMS, SAP Solution Manager, na ICT Security. Ufuatili wa Manufaa ya Kibiashara uliendelezwa na kufikia mwisho wa mwaka, wamiliki wa mfumo waliripoti ongezeko la manufaa la 95% na 80% katika AMS na SAP mtawalia.

Ili kuimarisha kutegemewa kwake, kutimiza maombi ya uwasilishaji kutoka kwa taasisi nyingine kwa niaba ya wakulima, kupata thamani zaidi kutoka kwa SAP huku ikifanikisha mtiririko wa shughuli katika mazingira ya mfumo, miradi kadha ilianzishwa na kutekelezwa. Katika kipindi husika, miradi iliyokamilishwa na kutumiwa katika uzalishaji ilikuwa ni pamoja na Mtiririko wa kazi wa SAP, SAP segment reporting, kuhamishwa kwa mitambo ya mawasiliano ya WAN kutoka VSAT hadi nyaya za kupeperusha habari kupitia mwanga, AMS 3rd party accounting, Product Costing, E-Performance management na Malipo ya Fedha za wakulima kwa njia ya elektroniki.



MKAKATI NA MTAZAMO WA SIKU ZA USONI.

Uzalishaji wa kawi

Kiwanda cha pamoja cha uzalishaji kawi kimeendeshwa kwa mwaka wa kwanza na kuleta matokeo ya kufana licha ya changamoto zilizoshuhudiwa kipindi hiki. Kikwazo cha kwanza kilikuwa upatikanaji wa mali ghafi hasa mabaki yanayotokana na miwa kutoka kiwanda cha sukari hadi mtambo wa kuzalisha kawi. Mtambo wa kuzalisha kawi haungeweza kuendeshwa taratibu kutokana na usitishaji wa uvunaji miwa na mipango ya usafirishaji iliyotatizwa na mvua nyingi na kusababisha kuwepo kwa viwango vidogo vya mabaki ya miwa kama ilivyotarajiwa. Kulikuwa pia na visa vya kujikokota kutoka kwa kampuni ya nguvu za umeme. Kampuni imo kwenye hatua za kukarabati mojawapo wa vichemsha maji ili kuokoa matumizi ya mafuta na kuimarisha utendaji wa kiwanda cha kutengeneza kawi.

Shughuli kwenye mashamba ya makubwa

Utegemeaji wa miwa inayotegemea mvua na mashamba madogo kama njia ya kupata miwa kwa uzalishaji kunaandaa hatari ya uthabiti wa muda mrefu wa biashara. Miaka mitatu iliyopita, kampuni ilifaulu kukamilisha utafiti wa uwezekano wa mradi wa pamoja wa sukari katika eneo la Tana Delta kwa ushirikiano na Tana and Athi Development Authority (TARDA). Kampuni imetambua huu kama mradi wa muda mfupi na mrefu utakaozinduliwa. Mradi huu utahakikisha uthabiti wa kampuni kwa thamani ya wanahisa na washika dau wengine. Serikali pia inatarajiwa kuunga mkono na kuimarisha uzinduzi wa mradi huu chini ya ruwaza ya 2030 kuhusiana na maendeleo ya delta na vidimbwi vya maji.

Ethanol

Utafiti wa uwezekano wa kuanzisha kiwanda cha *ethanol* mjini Mumias ambao ulianzishwa kipindi cha matumizi ya pesa kilichopita ulikamilika na ukathibitishwa kuanza. Kwa sasa, kampuni iko kwenye hatua za kwanza za kuzindua mradi. Mradi huu utafadhiliwa kupitia wafadhili mbali mbali. Mfadhili wa mradi ametambuliwa na mkopo unadizi kutayarishwa.

Mradi huu unatarajiwa kuzinduliwa mwezi Desemba mwaka 2011. Kampuni itaafikiana na sheria za usajili zinazohitaji petroli inayouzwa kwenye masoko ya Kenya kuchanganywa na *ethanol*. Hata hivyo, hili litahitaji sheria husika kwa uthabiti wa muda mrefu.

Kiwanda cha kutengeza maji

Kampuni ilitambua kiwanda cha kutengeneza maji kama mradi unaofaa na unaofikiana na mkakati wake. Kiwanda cha pamoja kilichotambuliwa mwisho wa mwaka wa matumizi ya pesa kiliandaa nafasi bora ya kuhifadhi maji ya ziada yanayotoka katika kiwanda

chake cha kutakasa maji ambacho kina uwezo wa kuhifadhi lita milioni 16 kila mwaka. Mradi huu unatarajiwa kukamilika ifikiapo Juni 30, 2011.

HITIMISHO

Kwa niaba ya timu ya wasimamizi wa Mumias, ningependa kuishukuru Halmashauri kwa mwongozo na mwelekeo wake. Pia ningependa kutoa shukrani zangu kwa wafanyakazi wote kwa kujitolea kwao kikamilifu, wakulima wetu waaminifu kutokana na msada wao, wateja wetu na watumiaji kwa kuchagua Mumias kama chaguo lao na pia washika dau wengine kwa mchango wao.

Mwaka ulioko mbele yetu una changamoto lakini naamini kwamba kupitia kujitolea kujikodhihirishwa na washika dau wote tutaweza kukabiliana na changamoto hizi na kupata matokeo mema.

Asanteni.

Dkt. Evans Kidero
Meneja Mkurugenzi



The Board encourages the practice of good corporate governance amongst its Directors and senior management in the conduct of the Company's business. The Board has approved a Code of Conduct and Business Ethics for its Directors and senior employees which emphasizes that the Directors and senior management should not compromise the interests of the Company while dealing with customers and suppliers of the Company. The Code also gives senior management the responsibility of ensuring legal and statutory compliance to all laws and regulatory requirements. In addition, the Code deals with situations relating to best practices as well as those situations that may give rise to conflict of interest in the conduct of business.

Role and Responsibilities

The Board has a Board Charter that guides its operations as well as defining the roles and responsibilities of the Directors and management. The Board is in the process of reviewing the Charter in line with the Company's overall strategic direction. Overall, the Board reserves for itself the responsibility for formulation and direction of the corporate strategy of the Company while the implementation of such strategy and day to day management of the Company's affairs is delegated to management.

The Board of Directors

The list of Directors who served during the reporting period is on page 6. The Board comprises of Directors with varied experiences and skills mix aimed at supporting and directing the strategy of the Company. Majority of the Directors are independent/non executive. The position of the Chairman is held by a non executive Director. Conduct of the business of the Board is done in compliance with the Board Charter. The Directors have a Directors' Appointment, Development and Retirement Policy which defines the terms of service for Directors.

As at 30th June 2010, the Board of Directors comprised of a Non- Executive Chairman, one Executive Director and ten Non-Executive Independent Directors. During the year, two Directors, Mr Edwin Osundwa and Mr Hassan Ali retired from the Board during the annual general meeting of shareholders held at the Tom Mboya Labour College on 4th December 2009. They were replaced by Mr Edwins Mukabanah and Mr John Mruttu.

The Board held 4 Board meetings during the period under review. The attendance of the Directors was as indicated in the table below.

Name of Director	Category	Board meetings attended
Mr J Bosse	Non-executive Chairman	4
Dr E Kidero	Executive director - MD	4
Mr J Kinyua	Non-executive director	4
Mr.J G Chege	Non-executive director	4
Mr K Gatabaki	Non-executive director	4
Mr M R Juma	Non-executive director	4
Dr C Wangia	Non-executive director	4
Ms G Ngala	Non-executive director	4
Mr F Kigen	Non-executive director	4
Mr E Mukabanah	Non-executive director	2
Mr J Mruttu	Non-executive director	2
Hon A Wako	Non-executive director	3

Directors' Training and Development

The Board encourages individual Directors to continuously improve their skills through relevant training and development programs available in the market. In addition, the Board members collectively undertake training or attend identified workshops and seminars on need basis. In the reporting period, the Members of the Board were sponsored to attend The Effective Directors' training program organized by the Strathmore Business School.

Board Committees

The Board has delegated some of its mandate to Board Committees. There are three standing committees of the Board which meet independently. The Committees report to the Board on quarterly basis. The decisions of the Committees must of necessity be ratified by the Board. The Committees define their schedule of meetings including the agenda. Each Committee is guided by the terms of reference as delegated by the Board.

During the period under review, the composition of the Committees was as indicated on page 6.

Board Audit Committee:

The Committee is required to meet at least four times a year and is responsible for the following amongst others;

- (a) Internal control systems and the general risk management for the Company
- (b) Scope of internal and external audits including implementation of the observations arising from such audits.
- (c) Review of half yearly, and Annual Financial Statements to ensure relevance and conformity to accounting standards.
- (d) Ensuring compliance with internal controls.
- (e) Discussions with the Chief Internal Auditor including review of periodic internal audit reports.

Some of the key discussions of the Committee during the period under review were;

- (a) Approval of the Internal Audit Charter
- (b) Approval of the 2009/10 Audit Plan
- (c) Discussions with Deloitte & Touche on the external Audit findings
- (d) Review of the half year and end year financial results
- (e) Review of the 2009/2010 capital and operating budget
- (f) Approval of the ethanol project financing

Board Human Resources and Strategy Committee:

The Committee is comprised of five non executive Directors and one executive Director and is required to meet at least four times a year and is responsible for the following amongst others;

- (a) Overall development and direction of the company's strategy and policies;
- (b) Overall remuneration strategy for the Company employees;
- (c) Remuneration of executives and non-executive Directors;
- (d) Evaluation of the performance of the Managing Director and senior executives;
- (e) Succession planning for key roles; and
- (f) Assessment, composition and succession of the Board.

The Committee held five meetings during the period under review and some of the key discussions related to;

- (a) Employee performance ratings;
- (b) Succession planning for the Board and senior management;
- (c) Business expansion opportunities;
- (d) Cane availability options;
- (e) Delinking of Booker Academy from the main operations;

Board Tender Committee:

The Committee is comprised of four non executive Directors and like the other Committees; it is required to meet at least four times a year. The Committee has the responsibility of ensuring that procurement practices are aligned so as to deliver value for expenditure incurred on agreed business strategy. The Committee held five meetings during the year and deliberated on the following issues;

- (a) Review of the Procurement Manual;
- (b) Review of various supply tenders;
- (c) Review of the KSB funded tenders for construction of bridges and culverts in the sugar belt;
- (d) Performance of the co generation plant;
- (e) Review of various tenders for the ethanol project;

CONTROL ENVIRONMENT

The Company has implemented a formal Enterprise Risk Management program which establishes structured risk management processes, as well as ensuring that employees are aware of the risk factors facing the organization. In addition, the Company has in place a well thought out Business Continuity Plan that aims at reducing the impact of some of the identified risks.

The Company has identified the various processes that contribute to the value chain. The processes are supported by well documented procedures across the organization. The efficiency and effectiveness of the internal controls is tested through periodic audits conducted by the internal audit department. In addition, the Company conducts periodic internal audits in line with the ISO 9001:2008 requirements. Management and the Board are of the reasonable view that isolated cases of breach on the internal control systems cannot be completely avoided hence the Company will strive to continuously improve on the control environment.

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2010.

PRINCIPAL ACTIVITIES

The principal activities of the company are the production and sale of sugar and the generation and sale of electricity.

RESULTS

Shs'000

Profit before taxation	2,179,874
Taxation charge	(607,491)
	=====
Profit for the year transferred to retained earnings	1,572,383
	=====

DIVIDENDS

The directors recommend a first and final dividend of Shs 0.40 per share (2009: Shs 0.40) totalling Shs 612 million (2009: Shs 612 million) in respect of the year.

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2010	2,318,080	235,792
2009	2,161,031	231,014
2008	2,408,141	265,263
2007	2,118,563	217,200
2006	2,450,548	265,819
	=====	=====

DIRECTORS

The directors who served during the year are shown on page 6.

In accordance with article 113, Hon Amos Wako, Mr Kungu Gatabaki, Ms Grace Ngala and Mr Caleb Wangia will retire by rotation. Hon Amos Wako and Mr Kungu Gatabaki, being eligible, have offered themselves for re-election. However, Dr Caleb Wangia and Ms Grace Ngala have opted to retire from the Board in accordance with the company policy on retirement of Directors.

Alinoor Hassan and Edwin Osundwa retired on 4 December 2009 and were replaced by Messrs John Mruttu and Edwins Mukabanah on the same date.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD



Secretary

26th August 2010

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



Director



Director

26th August 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Mumias Sugar Company Limited, set out on pages 33 to 79 which comprise the company statement of financial position as at 30 June 2010 and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 30 June 2010, and of the company's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position (balance sheet) and statement of comprehensive income are in agreement with the books of account.



Certified Public Accountants (Kenya)

26th August 2010

Nairobi

Partners: S.O. Onyango F.O. Aloo H Gadhoke* N. R. Hira* B.W. Irungu J.M. Kiarie D.M. Mbogho A.N. Muraya J. Nyang'aya J.W. Wangai
* British

Member of Deloitte Touche Tohmatsu

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2010

	Note	2010 Shs'000	2009 Shs'000
REVENUE	4	15,617,738	11,803,279
FAIR VALUE LOSS ON BIOLOGICAL ASSETS	17	(50,137)	(53,487)
OPERATING INCOME		15,567,601	11,749,792
COST OF SALES		(10,683,063)	(8,427,253)
GROSS PROFIT		4,884,538	3,322,539
OTHER OPERATING INCOME		80,214	91,141
MARKETING AND DISTRIBUTION COSTS		(909,818)	(827,382)
ADMINISTRATIVE EXPENSES		(1,445,322)	(1,039,264)
OTHER OPERATING EXPENSES		(465,073)	(462,608)
FINANCE INCOME	5(a)	404,226	299,892
FINANCE COSTS	5(b)	(368,891)	(191,157)
PROFIT BEFORE TAXATION	6	2,179,874	1,193,161
TAXATION (CHARGE)/ CREDIT	8	(607,491)	416,811
PROFIT FOR THE YEAR		1,572,383	1,609,972
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		1,572,383	1,609,972
EARNINGS PER SHARE - BASIC & DILUTED	9	Shs 1.03	Shs 1.05

STATEMENT OF FINANCIAL POSITION 30 JUNE 2010

	Note	2010 Shs'000	2009 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	11	11,585,953	12,098,452
Intangible assets	12	142,879	186,203
Non current receivables	14	98,393	79,128
		<u>11,827,225</u>	<u>12,363,783</u>
Current assets			
Inventories	16	955,078	796,096
Biological assets	17	179,375	189,501
Trade and other receivables	18	3,327,244	3,262,935
Taxation recoverable	8(c)	401,301	396,032
Collateral deposit	20	286,709	272,892
Deposits with financial institutions – held to maturity	21	820,376	-
Cash and bank balances		525,751	182,381
		<u>6,495,834</u>	<u>5,099,837</u>
Non current assets held for sale	22	11,051	12,095
		<u>6,506,885</u>	<u>5,111,932</u>
Total assets		<u>18,334,110</u>	<u>17,475,715</u>
EQUITY AND LIABILITIES			
Equity			
Share capital	23	3,060,000	3,060,000
Revaluation surplus		1,535,846	1,687,251
Retained earnings		6,404,006	5,292,218
Shareholders' equity		<u>10,999,852</u>	<u>10,039,469</u>
Non current liabilities			
Deferred income taxation liability	24	1,846,201	1,238,710
Provision for service gratuity	25(a)	19,800	16,597
Deferred grant income	26	25,760	37,786
Long term borrowings	27	2,192,476	2,382,814
		<u>4,084,237</u>	<u>3,675,907</u>
Current liabilities			
Borrowings	27	337,304	897,397
Trade and other payables	28	2,567,492	2,509,110
Provision for service gratuity	25(a)	6,474	4,454
Provision for staff leave pay	29	29,478	28,157
Unclaimed dividends	10(b)	309,273	321,221
		<u>3,250,021</u>	<u>3,760,339</u>
Total equity and liabilities		<u>18,334,110</u>	<u>17,475,715</u>

The financial statements on pages 33 to 79 were approved by the board of directors on 26th August 2010 and were signed on its behalf by:

)
) Directors
)

STATEMENT OF CHANGES IN EQUITY

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2008	3,060,000	1,827,343	4,154,154	9,041,497
Total comprehensive income for the year	-	-	1,609,972	1,609,972
Final dividend declared - 2008	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(84)	84	-
Deferred taxation transferred on disposal of equipment	-	25	(25)	-
Transfer of excess depreciation	-	(200,047)	200,047	-
Deferred taxation on excess depreciation	-	60,014	(60,014)	-
At 30 June 2009	3,060,000	1,687,251	5,292,218	10,039,469
At 1 July 2009	3,060,000	1,687,251	5,292,218	10,039,469
Total comprehensive income for the year	-	-	1,572,383	1,572,383
Final dividend declared - 2009	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(14,293)	14,293	-
Deferred taxation transferred on disposal of equipment	-	4,288	(4,288)	-
Transfer of excess depreciation	-	(202,000)	202,000	-
Deferred taxation on excess depreciation	-	60,600	(60,600)	-
At 30 June 2010	3,060,000	1,535,846	6,404,006	10,999,852

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of depreciation and deferred taxation. The revaluation surplus is non-distributable.

STATEMENT OF CASH FLOWS

	Note	2010 Shs'000	2009 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	30(a)	2,828,175	2,092,973
Interest paid		(212,966)	(224,550)
Interest received		404,226	294,218
Other finance charges paid		(9,848)	(3,150)
Taxation paid	8(c)	(5,269)	(596,267)
Net cash generated by operating activities		3,004,318	1,563,224
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment	30(d)	(336,646)	(3,162,559)
Additions to intangible assets	12	(1,544)	(11,333)
Proceeds on disposal of non-current assets held for sale		15,501	745
Net cash used in investing activities		(322,689)	(3,173,147)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend paid	10(b)	(623,948)	(595,185)
Loans received	30(b)	-	2,824,693
Loans repaid	30(b)	(314,247)	(1,210,000)
Net cash (used in)/generated from financing activities		(938,195)	1,019,508
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		1,743,434	(590,415)
CASH AND CASH EQUIVALENTS AT 1 JULY		(397,307)	193,108
CASH AND CASH EQUIVALENTS AT 30 JUNE	30(c)	1,346,127	(397,307)
		=====	=====

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan companies Act reporting purposes, in these financial statements the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRS) and Interpretations (IFRICs)

(i) Standards and interpretations affecting amounts reported in the current period (and/or prior periods)

The following new and revised standards and interpretations have been adopted in the current period and have affected the amounts and disclosures reported in these financial statements.

IFRS 8, 'Operating segments' – effective 1 January 2009.

The new standard requires a 'management approach', under which segment information is presented on the same basis as that used for internal reporting purposes. The segments will be reported in a manner that is consistent with the internal reporting provided to the chief operating decision-maker. The new standard enables investors to assess the business performance from the same perspective as that used by management in making decisions about operating matters. The application of IFRS 8 means that the company will disclose information about its operating segments, products and services, markets and major customers in these financial statements as consistent with internal reports provided to the chief operating decision maker.

IAS 1 (Revised), presentation of financial statements – effective 1 January 2009

A revised version of IAS 1 was issued in September 2007. It prohibits the presentation of items of income and expenses (that is, 'non-owner changes in equity') in the statement of changes in equity, requiring 'non-owner changes in equity' to be presented separately from owner changes in equity in a statement of comprehensive income.

According to the amendment to IAS 1 in January 2008, each component of equity, including each item of other comprehensive income, should be reconciled between carrying amount at the beginning and at end of the period. Since the change only impacts presentation aspects, there is no impact on the company's retained earnings.

IAS 23 (Revised) 'Borrowing costs' – effective 1 January 2009

A revised version of IAS 23 was issued in March 2007. It requires the capitalisation of borrowing costs, to the extent they are directly attributable to the acquisition, production or construction of a qualifying asset. It eliminates the option of immediate recognition of borrowing costs as an expense for assets that require a substantial period of time to get ready for their intended use. The application of IAS 23 amendment will not give rise to any changes in the company's financial statements.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Adoption of new and revised International Financial Reporting Standards (IFRS) and Interpretations (IFRIC) (Continued)

(ii) Standards and interpretations effective in the current period, with no effect on these financial statements:

- IFRS 2 Share-based payments – Amendments relating to vesting conditions and cancellations (effective for annual periods beginning on or after 1 January 2009);
- IFRS 3: Business combinations – Comprehensive revision on applying the acquisition method (effective for accounting periods beginning on or after 1 July 2009);
- IFRS 7 'Financial instruments – Disclosures' (amendment) – (effective 1 January 2009) ;
- IAS 20: Accounting for Government Grants and Disclosure of Government Assistance (effective for accounting periods beginning on or after 1 January 2009);
- IAS 27: Consolidated and Separate Financial Statements – Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009);
- IAS 28, Investments in Associates: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009);
- IAS 31: Interest in Joint Ventures - Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 January 2009);
- IAS 32: Financial Instruments: - Presentation - amendments relating to puttable financial instruments and obligations arising on liquidation (effective for accounting periods beginning on or after 1 January 2009);
- IAS 39: Financial Instruments: Recognition and Measurement – Eligible hedged items Amendments to clarify the accounting for embedded derivatives when reclassifying financial instruments (effective for annual periods ending on or after 30 June 2009);
- IAS 39: Financial Instruments: Recognition and Measurement – Amendments for eligible hedged items (effective for accounting periods beginning on or after 1 July 2009);
- IAS 40: Investment Property amendments (effective for accounting periods beginning on or after 1 January 2009).
- IFRIC 17: Distribution of non-cash assets to owners (effective for accounting periods beginning on or after 1 July 2009);
- IFRIC 18 Transfers of assets from customers (effective for accounting periods beginning on or after 1 July 2009).

The above standards and interpretations are effective in the current period but have no effect on these financial statements.

(iii) Standards and interpretations issued but not yet effective

- IFRS 8, Operating Segments: Amendments on disclosure of information about segment assets (effective for accounting periods beginning on or after 1 January 2010)
- IFRS 9, 'Financial instruments part 1: Classification and measurement' – replaces those parts of IAS 39 relating to the classification and measurement of financial assets (effective for accounting periods beginning on or after 1 January 2013).
- IAS 1, Presentation of Financial Statements: amendment for the classification of convertible instruments (effective for accounting periods beginning on or after 1 January 2010)
- IAS 7, Statement of Cash Flows, Amendment relating to current and non-current classification of convertible instruments (effective for accounting periods beginning on or after 1 January 2010)
- IAS 17, Leases: Amendment for classification of leases of land and buildings (effective for accounting periods beginning on or after 1 January 2010)
- IAS 36: Impairment of Assets: Amendment relating the unit of accounting for goodwill impairment test (effective for accounting periods beginning on or after 1 January 2010).
- IAS 38, intangible Assets: Amendment for measuring the fair value of an intangible asset acquired in a business combination (effective for accounting periods beginning on or after 1 January 2010)

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Adoption of new and revised International Financial Reporting Standards (IFRS) and Interpretations (IFRIC) (Continued)

(iii) Standards and interpretations issued but not yet effective (Continued)

- IAS 39, Financial Instruments: Recognition and Measurement: Amendments relating to treatment of loan prepayment penalties as closely related derivatives (effective for accounting periods beginning on or after 1 January 2010)
- IFRIC 19: Extinguishing financial liabilities with equity instruments (effective for accounting periods beginning on or after 1 July 2010).

The directors anticipate that the adoption of the above standards and interpretations will have no material impact on the financial statements of the company when effective.

(iv) Early adoption of standards

The company did not early-adopt any new or amended standards in the period.

Basis of preparation

The financial statements are prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of sugar and molasses are recognised when all the following conditions are satisfied and are stated net of Value Added Tax, Sugar Development Levy and discounts:

- the company has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

(ii) Sale of electricity

Revenue from electricity sales is recognised based on kilowatt hours (KWH) of power exported to the national grid and capacity charges as provided for under a Power Purchase Agreement (PPA) with the Kenya Power and Lighting Company Limited (KPLC).

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Revenue recognition (Continued)

(iii) Interest income

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(iv) Other income

All other income earned by the company is recognised on the accruals basis.

Foreign currencies

Transactions in currencies other than the Kenya Shillings are translated at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary assets and liabilities that are denominated in foreign currencies are translated at the rates prevailing on the end of the reporting period. Gains and losses arising on translation are included in profit or loss for the period.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, these being assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

Investment income earned on the temporary investment of specific borrowings pending the disbursement of the proceeds towards expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised through profit or loss on a systematic basis over the useful life of the equipment.

Taxation

Income taxation expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Property, plant and equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except for motor vehicles are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Such valuation is carried out at periodic intervals, usually after every five years. The basis of valuation is depreciated replacement cost.

1 PRINCIPAL ACCOUNTING POLICIES (continued)

Property, plant and equipment (Continued)

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Any revaluation increase arising on the revaluation is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the properties revaluation reserve relating to a previous revaluation of that asset.

Depreciation

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 33⅓%
Other equipment and fixtures	12½% - 33⅓%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Intangible assets

Computer software

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for any impairment losses. Intangible assets are not revalued.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Intangible assets (Continued)

Research and development expenditure (Continued)

The amount initially recognised for internally - generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally - generated intangible asset can be recognised, development expenditure is charged through profit or loss in the period in which it is incurred.

Inventories

Finished sugar and molasses inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Sugar in process is stated at half the production cost of finished sugar.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for obsolescence where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated point-of-sale costs.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less point-of-sale costs.

Immature growing cane is valued at cost.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognized on the straight line basis over the term of the relevant lease.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Leases (Continued)

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial instruments

Financial assets and financial liabilities are recognised in the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

Financial assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity assets; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. The company's trade and other receivables fall under this category.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available-for-sale. The collateral and the term deposits fall under this category.

Available-for-sale financial assets

This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Recognition

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are dealt with in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss' or 'other financial liabilities'. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

Financial liabilities at fair value through profit or loss

This category has two sub-categories: Financial liabilities held for trading and those designated at fair value through profit or loss at inception. A financial liability is classified as 'at fair value through profit or loss' if acquired principally for the purpose of repurchasing in the near future or if so designated by management. Financial liabilities at fair value through profit or loss are subsequently carried at fair value. Gains and losses arising from changes in the fair value of these financial assets are included in the profit or loss in the period in which they arise.

Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company's key other financial liabilities are:

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Financial liabilities (Continued)

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised through profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately through profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement benefits obligations

Defined benefit pension scheme

The company operates a defined benefit post-employment pension scheme for eligible non-unionisable employees. The scheme is funded by contributions from the employees and the company.

The assets of the scheme are held and administered independently of the company's assets. The company's contribution to the scheme is charged to profit or loss so as to spread the cost over the service lives of the employees. The defined benefit obligation is calculated every three years by independent Actuaries using the projected credit unit method. Actuarial gains or losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to profit or loss over the employees' expected average remaining working lives. Past-service costs are recognised immediately through profit or loss, unless the changes to the pension scheme are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on the straight-line basis over the vesting period.

Defined contribution schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The company's contributions to the fund are charged to profit or loss in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Shs 200 per employee per month. The company's contributions are charged through profit or loss in the year to which they relate.

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

1 PRINCIPAL ACCOUNTING POLICIES (Continued)

Employee benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is payable based on achievement of annual performance targets. Bonus costs are recognised upon the approval of a bonus by management.

Restructuring and rationalisation provisions

Restructuring and rationalisation provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the company's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

(i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling a more than insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry to a fair value reserve in shareholders' equity.

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES (Continued)

(ii) Key sources of estimation and uncertainty

Biological assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 17.

Property, plant and equipment and intangible assets

Critical estimates are made by the management in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipment and intangible assets respectively are determined.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

Contingent liabilities

As disclosed in note 33 to these financial statements, the company is exposed to various contingent liabilities in the normal course of business.

The management evaluate the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the management's evaluation, a present obligation has been established.

3 SEGMENTAL INFORMATION

a) Adoption of IFRS 8 Operating segments

The company has adopted IFRS 8 Operating Segments which became effective for annual periods beginning on or after 1 January 2009. IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the company that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segments and to assess their performance. In contrast, the predecessor Standard (IAS 14 Segment Reporting) required an entity to identify two sets of segments (business and geographical), using a risks and returns approach, with the entity's 'system of internal financial reporting to key management personnel' serving only as the starting point for the identification of such segments.

b) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Managing Director) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the company.

The company defines its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to the Kenya Power and Lighting Company Limited.

3 SEGMENTAL INFORMATION (Continued)

c) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Total Shs'000
30 June 2010			
Revenue	15,297,314	320,424	15,617,738
Intersegment sales	(57,774)	57,774	-
Total sales	15,239,540	378,198	15,617,738
Fair value changes on biological assets	(50,137)	-	(50,137)
Other operating income	80,214	-	80,214
Cost of sales	(10,313,015)	(370,048)	(10,683,063)
Administrative expenses	(1,421,645)	(23,677)	(1,445,322)
Marketing and distribution expenses	(909,818)	-	(909,818)
Other operating expenses	(465,073)	-	(465,073)
Finance income	401,135	3,091	404,226
Finance costs	(53,279)	(169,535)	(222,814)
Net exchange losses	(8,877)	(137,200)	(146,077)
Profit before taxation	2,499,045	(319,171)	2,179,874
Segment EBITDA	2,817,111	235,166	3,052,277
Segment assets	12,721,117	5,612,993	18,334,110
Segment liabilities	2,815,151	2,627,346	5,442,497
Depreciation and amortisation	657,045	250,693	907,738
30 June 2009			
Revenue	11,791,708	11,571	11,803,279
Intersegment sales	-	-	-
Total sales	11,791,708	11,571	11,803,279
Fair value changes on biological assets	(53,487)	-	(53,487)
Other operating income	91,141	-	91,141
Cost of sales	(8,427,253)	-	(8,427,253)
Administrative expenses	(1,039,264)	-	(1,039,264)
Marketing and distribution expenses	(827,382)	-	(827,382)
Other operating expenses	(462,162)	(446)	(462,608)
Finance income	290,586	9,306	299,892
Finance costs	(11,105)	-	(11,105)
Net exchange gains/(losses)	108,934	(288,986)	(180,052)
Profit/(loss) before taxation	1,461,716	(268,555)	1,193,161
Segment EBITDA	1,720,772	11,125	1,731,897
Segment assets	12,019,485	5,456,230	17,475,715
Segment liabilities	3,497,013	2,700,523	6,197,536
Depreciation and amortisation	647,471	-	647,471

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 SEGMENTAL INFORMATION (Continued)

c) Segment revenues and results, assets and liabilities (Continued)

Revenue reported above represents revenue generated from external customers, except for the intersegment sales identified in year 2010.

Segment liabilities represent long term loans and current liabilities only.

Impairment losses of Shs 82 million (2009: Shs nil) were recognised in respect of property, plant and equipment.

d) Information on major customers

Included in revenue arising from sales of sugar of Shs 15.12 billion (2009: Shs 11.7 billion), is revenue of approximately Shs 1.7 billion (2009: Shs 2.2 billion) which arose from sales to the company's largest customer.

The energy revenue is solely sales to KPLC. The company has a power purchase agreement with KPLC which stipulates that the power generated by the company shall be purchased by KPLC as per agreed rates and operational parameters.

e) Other information

The accounting policies for the reportable segments are the same as the company's accounting policy described in note 1.

Significantly all of the company's revenue is earned from sales made in Kenya.

All the assets of the company are located in Kenya.

4 REVENUE ANALYSIS

	2010 Shs'000	2009 Shs'000
Gross sales	18,797,765	14,196,021
Less:		
Value Added Tax	(2,574,669)	(1,930,967)
Sugar Development Levy	(605,358)	(461,775)
	(3,180,027)	(2,392,742)
Net sales	15,617,738	11,803,279
Net sales analysed as follows:		
Sugar sales	15,155,877	11,676,427
Molasses sales	141,437	115,281
Electricity sales	320,424	11,571
	15,617,738	11,803,279

	2010 Shs'000	2009 Shs'000
5 (a) FINANCE INCOME		
Interest income:		
On services and inputs to farmers	384,443	277,563
On deposits with financial institutions held to maturity	9,128	-
On staff loans	6,531	6,622
On collateral deposits	3,397	9,306
On Uchumi Supermarket Limited debenture	727	727
Amortisation of MOCO loan discount	-	5,674
	<u>404,226</u>	<u>299,892</u>
	=====	=====

The interest income on services and inputs to farmers relates to the interest the company charges the farmers on land preparation, seed cane and fertilizers costs that the company provides to them for cane establishment and development. The company provides agricultural extension services and inputs to farmers and recovers these amounts from the amounts payable to farmers on harvested cane.

	2010 Shs'000	2009 Shs'000
(b) FINANCE COSTS		
Interest expense:		
On loans	169,536	200,526
On bank overdrafts	43,430	7,955
	<u>212,966</u>	<u>208,481</u>
Less: Amounts included in cost of qualifying assets	-	(200,526)
	<u>212,966</u>	<u>7,955</u>
Net foreign exchange losses	146,077	246,896
Less: Amounts included in cost of qualifying assets	-	(66,844)
	<u>146,077</u>	<u>180,052</u>
Other finance charges	9,848	3,150
	<u>368,891</u>	<u>191,157</u>
	=====	=====

Interest costs amounting to Shs nil (2009 – Shs 200,526,000) and exchange losses amounting to Shs nil (2009 – Shs 66,844,000) were included in the cost of qualifying assets (Cogeneration project) in accordance with IAS 23 'Borrowing Costs' which allows borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to form part of the cost of that asset.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Shs'000	2009 Shs'000
6 PROFIT BEFORE TAXATION		
Profit before taxation is arrived at after:		
charging:		
Staff costs (note 7)	1,976,372	1,552,326
Depreciation of property, plant and equipment (note 11)	862,870	604,682
Amortisation of intangible assets (note 12)	44,868	42,789
Operating lease rentals (note 31)	27,049	24,673
Directors' emoluments - fees	5,500	5,207
- other	49,402	54,787
Auditors' remuneration	5,200	5,207
Bad and doubtful debts	2,441	82,854
Loss on disposal of non current assets held for sale	26,308	705
	=====	=====
and crediting:		
Amortisation of grant income (note 26)	12,026	11,605
Reduction in provision for obsolete stock	56,209	67,187
	=====	=====
7 STAFF COSTS		
Salaries and allowances	1,688,395	1,412,706
Staff performance bonus	142,542	-
Pension - defined benefit scheme	58,936	56,783
Provident fund	33,854	33,030
Group life insurance cover	26,550	17,544
Staff gratuity provision	15,914	16,339
Pension - statutory defined contribution scheme	5,252	5,483
Provision for leave pay	4,929	10,441
	=====	=====
	1,976,372	1,552,326
	=====	=====
8 TAXATION		
(a) Taxation charge/(credit)		
Current taxation based on the adjusted profit for the year at 30% - current year	-	-
	=====	=====
Deferred taxation charge/(credit)		
- current year	600,856	(411,276)
- prior year under/(over) provision	6,635	(5,535)
	=====	=====
Total deferred taxation charge/(credit) (note 24)	607,491	(416,811)
	=====	=====
	607,491	(416,811)
	=====	=====

Current taxation is Shs nil (2009: Shs nil) due to the fact that at 30 June 2010, the company had accumulated tax losses of Shs 3,056,932,515 (2009: Shs 5,758,883,746).

	2010 Shs'000	2009 Shs'000
8 TAXATION (Continued)		
(b) Reconciliation of expected tax based on accounting profit to taxation charge/(credit)		
Accounting profit before taxation	2,179,874 =====	1,193,161 =====
Tax at the applicable rate of 30%	653,963	357,948
Tax effect of non deductible expenses	8,862	7,991
Tax effect of non taxable income	(3,608)	(3,482)
Tax effect of excess investment deduction	(58,361)	(773,733)
Prior year under/(over) provision of deferred taxation	6,635	(5,535)
	-----	-----
	607,491 =====	(416,811) =====
(c) Taxation recoverable		
At beginning of the year	(396,032)	200,235
Paid in the year	(5,269)	(596,267)
	-----	-----
At end of year	(401,301) =====	(396,032) =====

9 EARNINGS PER SHARE – BASIC & DILUTED

Earnings per share are calculated by dividing the net profit attributable to shareholders by the number of ordinary shares in issue during the year.

	2010	2009
Profit for the year (Shs'000)	1,572,383 =====	1,609,972 =====
Number of ordinary shares (thousands)	1,530,000 =====	1,530,000 =====
Earnings per share	1.03	1.05
Basic & diluted (Shs)	=====	=====

There were no potential dilutive shares outstanding at either 30 June 2010 or 30 June 2009.

10 DIVIDENDS

(a) Dividends per share

The directors recommend a first and final dividend of Shs 0.40 per share (2009 – Shs 0.40) totalling Shs 612 million (2009: Shs 612 million) in respect of the year. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been recognised as a liability in these financial statements.

The dividends payable are subject to, where applicable, deduction of withholding tax at the rate of 5% for residents and 10% for non residents as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

(b) The movement in the dividends payable account is as follows:

	2010 Shs'000	2009 Shs'000
At beginning of the year	321,221	304,406
Final dividend declared – 2009/2008	612,000	612,000
	933,221	916,406
Dividend paid	(623,948)	(595,185)
At the end of the year	309,273	321,221
	=====	=====

The unclaimed dividends relate substantially to dividends payable to shareholders who had unresolved share certificate issues at the end of the reporting period. These shares are held in trust by Kanouti Trustees.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT

COST OR VALUATION

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
At 1 July 2008	923,250	1,900,795	4,719,554	241,028	283,489	541,737	2,369,328	10,979,181
Additions		782	41,390	11,530	3,838	20,776	3,351,613	3,429,929
Transfers to non-current assets held for sale (note 22)	-	(442)	-	(18,735)	(3,724)	(82,411)	-	(105,312)
Transfers from capital work in progress	-	296,055	4,862,165	-	-	1,465	(5,159,685)	-
At 1 July 2009	923,250	2,197,190	9,623,109	233,823	283,603	481,567	561,256	14,303,798
Additions	-	799	199,952	59,308	6,073	33,587	36,927	336,646
Transfers to non-current assets held for sale (note 22)	-	(6,892)	(44,753)	(1,813)	-	-	-	(53,458)
Transfers from capital work in progress	9,049	-	211,560	-	-	54,019	(274,628)	-
Transfers from inventories (note 16)	-	-	54,490	-	-	-	-	54,490
At 30 June 2010	932,299	2,191,097	10,044,358	291,318	289,676	569,173	323,555	14,641,476

COMPRISING

Cost
Valuation – 2006

	188,413	301,892	5,957,827	70,466	289,676	564,867	323,555	7,696,696
	743,886	1,889,205	4,086,531	220,852	-	4,306	-	6,944,780
	932,299	2,191,097	10,044,358	291,318	289,676	569,173	323,555	14,641,476

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

DEPRECIATION

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Total Shs'000
At 1 July 2008	43,696	191,252	738,247	81,333	217,313	427,836	-	1,699,677
Charge for the year	26,244	95,833	372,598	40,870	27,814	41,323	-	604,682
Transfers to non-current assets held for sale (note 22)	-	(39)	-	(12,880)	(3,724)	(82,370)	-	(99,013)
At 1 July 2009	69,940	287,046	1,110,845	109,323	241,403	386,789	-	2,205,346
Charge for the year	26,470	103,139	622,370	44,010	20,547	46,334	-	862,870
Transfers to non-current assets held for sale (note 22)	-	(1,764)	(9,116)	(1,813)	-	-	-	(12,693)
At 30 June 2010	96,410	388,421	1,724,099	151,520	261,950	433,123	-	3,055,523

NET BOOK VALUE (valuation)

At 30 June 2010	835,889	1,802,676	8,320,259	139,798	27,726	136,050	323,555	11,585,953
At 30 June 2009	853,310	1,910,144	8,512,264	124,500	42,200	94,778	561,256	12,098,452

NET BOOK VALUE (Cost basis)

At 30 June 2010	512,353	740,291	7,555,243	100,983	27,726	131,737	323,555	9,391,888
At 30 June 2009	518,803	772,570	7,636,409	67,120	42,200	89,736	561,256	9,688,094

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

During the year, management reviewed items carried in inventories and identified certain major spare parts qualifying as items of property, plant and equipment as provided under IAS 16 Property, Plant and Equipment. These items have been transferred from inventory to property, plant and equipment at a carrying cost of Shs 54,490,000 after impairment provisions of Shs 82,666,000 on items whose carrying costs exceed their estimated recoverable amount.

The items have not attracted a depreciation charge during the year as they have not yet been brought into use.

Property and factory plant and machinery were revalued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on a depreciated replacement cost basis.

The balance on capital work-in-progress mainly represents expenditure on the new modern sugar packaging plant, factory expansion works, ethanol plant, water purification plant, boiler refurbishment and the Kisoko cane transloading station that were in progress as at the end of the reporting period. The transfers from capital work in progress mainly relate to the expenditure incurred on the new modern sugar packaging plant and the backup server that were completed and commissioned during the year at a cost of Shs 274.6 million (2009 – Shs 5.16 billion).

Included in factory plant and heavy mobile machinery are assets with a carrying value of Shs 25,760,000 (2009 – Shs 37,786,000) acquired under a Road Maintenance Unit package financed by the Kenya Sugar Board as disclosed on note 26.

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 27.

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Factory plant and machinery	54,321	36,852	2,716	1,843
Heavy mobile machinery	64,382	-	11,976	-
Motor vehicles	221,029	164,794	32,174	35,521
Other equipment and fixtures	308,941	251,392	65,467	53,075
	648,673	453,038	112,333	90,439
	=====	=====	=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

12 INTANGIBLE ASSETS

	Computer software Shs'000	Development costs Shs'000	Capital work in progress Shs'000	Total Shs'000
At 1 July 2008	177,188	135,969	-	313,157
Additions	11,333	-	-	11,333
At 30 June 2009	188,521	135,969	-	324,490
At 1 July 2009	188,521	135,969	-	324,490
Additions	220	-	1,324	1,544
Transfers from capital work in progress	1,324	-	(1,324)	-
At 30 June 2010	190,065	135,969	-	326,034
AMORTISATION				
At 1 July 2008	95,498	-	-	95,498
Charge for the year	42,789	-	-	42,789
At 30 June 2009	138,287	-	-	138,287
At 1 July 2009	138,287	-	-	138,287
Charge for the year	44,868	-	-	44,868
At 30 June 2010	183,155	-	-	183,155
NET BOOK VALUE				
At 30 June 2010	6,910	135,969	-	142,879
At 30 June 2009	50,234	135,969	-	186,203

Intangible assets represent computer software and development costs.

12 INTANGIBLE ASSETS (Continued)

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi Rivers Development Authority (TARDA). The feasibility study was concluded in 2007 and the project found to be economically viable and costs incurred were capitalised in accordance with IAS 38 on Intangible Assets.

All expenditure incurred on the research phase of this project was expensed when incurred.

The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project. The development costs are not amortised as they have an indefinite useful life.

At 30 June 2010, intangible assets with a cost of Shs 177,188,585 (2009 – Shs 54,045,604) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 40,507,551 (2009 – Shs 18,013,400).

13 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. The land has been charged to secure banking facilities granted to the company as disclosed on note 27. The development was valued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on open market basis at Shs 500,000,000.

14 NON CURRENT RECEIVABLES

Staff receivables
Less: receivable within one year (included under note 18)

Receivable after one year (non-current)

2010
Shs'000

2009
Shs'000

159,974
(61,581)

137,022
(57,894)

98,393
=====

79,128
=====

Included in staff receivables is a balance of Shs 4,731,000 (2009 – Shs 1,318,000) due from a director of the company. The balance is secured by a vehicle acquired through the loan

Included in the staff receivables balances are staff car loans amounting to Shs 150,762,974 (2009 – Shs 126,800,880) which are secured by the vehicles acquired through the loans.

The effective interest rate on staff loans during the year was 5% (2009 - 5%).

15 INVESTMENT HELD TO MATURITY

The company's trade receivables from Uchumi Supermarkets Limited amounting to Shs 7,266,625 were converted to a debenture with a similar face value in 2007. The debenture interest accrues at a rate of 10% per annum.

Debenture
Accumulated impairment losses

2010
Shs'000

2009
Shs'000

7,266
(7,266)

7,266
(7,266)

-
=====

-
=====

16

	INVENTORIES 2010 Shs'000	2009 Shs'000
Sugar and molasses	23,419	28,145
Sugar in process	86,523	32,771
	109,942	60,916
Mechanical and electrical spares	546,508	530,384
Fertilisers, chemicals and fuels	227,796	135,557
Other consumables	70,832	69,239
	955,078	796,096

As detailed in note 11, inventories with a carrying cost of Shs 54,490,000 have satisfied the criteria for classification as plant and equipment in accordance with the provisions of IAS 16 and have therefore been transferred to property, plant and equipment.

The cost of inventories recognised as an expense during the period was Shs 8,222,345,678 (2009: Shs 6,268,583,065).

The cost of inventories recognised as an expense has been reduced by Shs 56,209,172 (2009: Shs 67,187,467) in respect of reversal of write-downs of inventory to net realisable value.

	2010 Shs'000	2009 Shs'000
17 BIOLOGICAL ASSETS		
At beginning of the year	189,501	188,132
Additions at cost	166,005	161,690
Decrease due to harvest at cost	(125,994)	(106,834)
	229,512	242,988
Loss arising from changes in fair value attributable to physical changes	(72,503)	(75,477)
Gain arising from changes in fair value attributable to price changes	22,366	21,990
Fair value loss during the year	(50,137)	(53,487)
Carrying amount at the end of the year	179,375	189,501

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 3,148.00 per tonne of sugar cane (2009 – Shs 2,652.50).
- Cane at the age of six months and below has no reliably determinable market value and has been stated at cost. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 12.8% depending on the age of the cane across the sugar belt.

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of the passage of time on estimated future cash flows is not significant.

With effect from 1st July 1988, Nucleus Estate growing cane ceased to be insured against fire as insurance companies declined to provide cover.

	2010 Shs'000	2009 Shs'000
18 TRADE AND OTHER RECEIVABLES		
Receivables from farmers for inputs and services (note 19(a))	1,298,622	1,694,939
Advance payments to suppliers	632,698	424,229
Other receivables and prepayments	589,771	373,662
KPLC receivables	283,868	296,545
Trade receivables	449,669	205,445
Staff receivables (note 14)	61,581	57,894
Advance to Busia Sugar Company Ltd (in receivership)	11,035	27,959
MOCO receivables (note 19(b))	-	171,104
BOCO receivables (note 19(c))	-	11,158
	<u>3,327,244</u>	<u>3,262,935</u>
	=====	=====

The advance to Busia Sugar Company Ltd (in Receivership) is being recovered through the use of the land owned by the company (Nasewa nucleus estate) over a period of 5 years. Mumias Sugar Company has a registered first charge over the land LR No Burkhango/ Nasewa /1500.

The KPLC receivables represents costs incurred by the company on behalf of KPLC for the construction of a transmission line between Mumias and Musaga substation in order to export power to the national grid. The costs (inclusive of taxes) of undertaking the design, construction, installation, testing and commissioning of the KPLC interconnection facilities were to be borne by KPLC and are recoverable from KPLC in accordance with the KPLC Interconnection Facilities Project Implementation agreement.

The KPLC receivable also includes trade receivables arising from the sale of electricity to KPLC in the normal course of trade.

The construction of the transmission line was financed by PROPARCO (note 27). Under the direct Power Purchase Agreement (PPA), between KPLC, PROPARCO and the company, KPLC has assigned the rights of the borrower to the lender. The rights are inclusive of the lenders ability to instruct KPLC on where to make payments relating to the PPA. The amounts receivable from KPLC of Shs 417 million is therefore used as collateral for PROPARCO.

19 (a) RECEIVABLES FROM FARMERS FOR SERVICES AND INPUTS

	2010 Shs'000	2009 Shs'000
Gross amount	1,735,713	1,794,124
Provision for doubtful debts	(437,091)	(99,185)
Net amount (note 18)	<u>1,298,622</u>	<u>1,694,939</u>
	=====	=====

The company provides agricultural extension services and inputs to farmers and recovers these amounts from the amounts payable to the farmers for the harvested cane.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

19 (b) MOCO RECEIVABLES

	Gross amount Shs'000	Provision for doubtful debts Shs'000	Net 2010 Shs'000	Net 2009 Shs'000
Accountancy fees and agricultural extension services	251,453	(251,453)	-	-
Interest receivable from MOCO	426,717	(426,717)	-	127,966
Advance to MOCO	43,138	(43,138)	-	43,138
	<u>721,308</u>	<u>(721,308)</u>	<u>-</u>	<u>171,104</u>
	=====	=====	=====	=====

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (note 33).

(c) BOCO RECEIVABLES

Advance to BOCO
BOCO current account

	2010 Shs'000	2009 Shs'000
Advance to BOCO	-	11,775
BOCO current account	-	(617)
	<u>-</u>	<u>11,158</u>
	=====	=====

The effective interest rate on the BOCO advance was 12% per annum

20 COLLATERAL DEPOSIT

This is a term deposit which represents a 10% advance collateral deposit on the PROPARCO Loan Facility (note 27) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Limited). The deposit amounted to US dollars 3.5 million (2009: US dollars 3.5 million). The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

21 DEPOSITS WITH FINANCIAL INSTITUTIONS- HELD TO MATURITY

At amortised cost

Maturing within 90 days

Barclays Bank of Kenya Limited
Co-operative Bank of Kenya Limited
Kenya Commercial Bank Limited

	2010 Shs'000	2009 Shs'000
Barclays Bank of Kenya Limited	218,422	-
Co-operative Bank of Kenya Limited	301,019	-
Kenya Commercial Bank Limited	300,935	-
	<u>820,376</u>	<u>-</u>
	=====	=====

21 DEPOSITS WITH FINANCIAL INSTITUTIONS- HELD TO MATURITY (Continued)

The effective interest rates were as follows:

	2010 %	2009 %
Barclays Bank of Kenya Limited	4.00	-
Co-operative Bank of Kenya Limited	3.50	-
Kenya Commercial Bank Limited	4.00	-
	=====	=====

22 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST						
At 1 July 2008	-	1,344	17,150	9,143	10,429	38,066
Transferred from property, plant and equipment (note 11)	442	-	18,735	3,724	82,411	105,312
Disposals	-	-	(797)	(248)	(83,724)	(84,769)
	=====	=====	=====	=====	=====	=====
At 1 July 2009	442	1,344	35,088	12,619	9,116	58,609
Transferred from property, plant and equipment (note 11)	6,892	44,754	1,812	-	-	53,458
Disposals	(6,892)	(44,754)	(5,102)	(2,436)	(1,624)	(60,808)
	=====	=====	=====	=====	=====	=====
At 30 June 2010	442	1,344	31,798	10,183	7,492	51,259
	=====	=====	=====	=====	=====	=====
DEPRECIATION						
At 1 July 2008	-	1,266	14,446	9,143	5,965	30,820
Transferred from property, Plant and equipment (note 11)	39	-	12,880	3,724	82,370	99,013
Eliminated on disposal	-	-	(428)	(248)	(82,643)	(83,319)
	=====	=====	=====	=====	=====	=====
At 1 July 2009	39	1,266	26,898	12,619	5,692	46,514
Transferred from property, Plant and equipment (note 11)	1,764	9,116	1,813	-	-	12,693
Eliminated on disposal	(1,764)	(9,116)	(4,305)	(2,436)	(1,378)	(18,999)
	=====	=====	=====	=====	=====	=====
At 30 June 2010	39	1,266	24,406	10,183	4,314	40,208
	=====	=====	=====	=====	=====	=====
NET BOOK VALUE						
At 30 June 2010	403	78	7,392	-	3,178	11,051
	=====	=====	=====	=====	=====	=====
At 30 June 2009	403	78	8,190	-	3,424	12,095
	=====	=====	=====	=====	=====	=====

Assets held for sale represent assets that the company intends to dispose of within the next year in their present condition.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2010 Shs'000	2009 Shs'000
23	SHARE CAPITAL		
	Authorised:		
	2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
		=====	=====
	Issued and fully paid:		
	1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000
		=====	=====
	Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.		

24 DEFERRED INCOME TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	2010 Shs'000	2009 Shs'000
The net deferred taxation liability is attributable to the following items:		
Deferred taxation liabilities:		
Accelerated capital allowances	2,316,940	2,367,925
Revaluation surpluses	658,219	723,107
Unrealised exchange gains	49,158	55,918
	3,024,317	3,146,950
Deferred taxation assets:		
Provision for service gratuity	(7,881)	(6,315)
Provision for staff leave pay	(8,843)	(8,447)
Fair value adjustment - biological assets	(16,576)	(8,663)
Unrealised exchange losses	(156,870)	(115,319)
General doubtful debts provision	(41,566)	(38,151)
Impairment losses	(24,800)	-
Other provisions	(4,500)	-
Tax losses available for offset against future profits	(917,080)	(1,731,345)
	(1,178,116)	(1,908,240)
	1,846,201	1,238,710
	=====	=====
The movement on the deferred taxation account during the year was as follows:		
Balance at beginning of the year	1,238,710	1,655,521
Charge/(credit) - note 8(a)		
– Current year	600,856	(411,276)
– Prior year	6,635	(5,535)
Balance at end of the year	1,846,201	1,238,710
	=====	=====

25 RETIREMENT BENEFITS OBLIGATIONS

(a) Provision for service gratuity

Balance at the beginning of the year
Provision for the year
Paid during the year

Balance at the end of the year

Maturity analysis

Within one year
After one year

2010
Shs'000

2009
Shs'000

21,051	13,526
17,265	16,339
(12,042)	(8,814)
26,274	21,051
=====	=====
6,474	4,454
19,800	16,597
26,274	21,051
=====	=====

(b) Staff retirement defined benefit scheme

An actuarial valuation was last carried out as at 30 June 2010 by Alexander Forbes Financial Services (E.A.) Limited. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method. The next actuarial valuation is scheduled for 30 June 2013.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

Discount rate (% p.a)
Expected return on scheme assets (% p.a)
Future salary increases (% p.a)
Future Pension increases (% p.a)

2010

2009

10	10
10	10
8	8
0	0

The amounts included in the statement of financial position arising from the company's obligations in respect of its defined benefit plans are as follows.

2010
Shs'000

2009
Shs'000

Present value of funded obligations
Fair value of scheme assets

Net underfunding in funded plan
Accumulated unrecognized actuarial losses

Net asset

1,416,000	1,276,800
(1,366,600)	(1,057,400)
49,400	219,400
(49,400)	(219,400)
-	-
=====	=====

25 RETIREMENT BENEFITS OBLIGATIONS

(b) Staff retirement defined benefit scheme (Continued)

Movements in the present value of the defined benefit obligation in the current and previous period were as follows:

	2010 Shs'000	2009 Shs'000
At 1 July	1,276,800	1,123,900
Current service cost (net of employee contributions)	38,600	58,400
Employee contributions	27,500	26,700
Interest costs	124,600	112,900
Actuarial losses	76,800	29,100
Benefits paid	(128,300)	(74,200)
At 30 June	1,416,000	1,276,800
	=====	=====

Movements in the present value of the plan assets in the current and previous period were as follows:

	2010 Shs'000	2009 Shs'000
At 1 July	1,057,400	1,217,800
Expected return on plan assets	103,600	122,300
Employee contributions	27,500	26,700
Employer contributions	58,800	57,100
Actuarial gains/(losses)	247,600	(292,300)
Benefits paid	(128,300)	(74,200)
At 30 June	1,366,600	1,057,400
	=====	=====

The expected return on scheme assets is 10% (2009: 10%) per annum.

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The director's assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was Shs 351,200,000 (2009: Shs (170,000,000)).

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 58,819,000 (2009 – Shs 56,783,000) in the year.

The company expects to make a contribution of Shs 64,700,900 (2009 - Shs 56,783,000) to the defined benefit plans during the next financial year.

25 RETIREMENT BENEFITS OBLIGATIONS (Continued)

(c) Statutory contribution scheme

The company's contributions to the statutory National Social Security Fund scheme are determined by statute and totalled Shs 5,257,000 (2009 – Shs 5,483,000) in the year.

(d) Staff provident fund

The company operates a defined contribution provident fund for eligible unionisable employees. The company's contribution in the year totalled Shs 33,871,000 (2009 – Shs 33,030,000).

The company's obligations to the staff retirement benefits plans are charged through profit or loss as they fall due.

26 DEFERRED GRANT INCOME

At the beginning of the year
Amortisation for the year

At the end of the year

2010
Shs'000

2009
Shs'000

37,786	49,391
(12,026)	(11,605)
<u>25,760</u>	<u>37,786</u>
=====	=====

The deferred grant income represents the unamortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation for the year is equivalent to the depreciation charge for the equipment purchased under the grant.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Shs'000	2009 Shs'000
27 BORROWINGS		
PROPARCO	2,529,780	2,700,523
Bank overdrafts – Kenya Commercial Bank Limited	-	579,688
	<u>2,529,780</u>	<u>3,280,211</u>
	=====	=====
The borrowings comprise:		
Loans (note 30(b))	2,529,780	2,700,523
Bank overdrafts (note 30(c))	-	579,688
	<u>2,529,780</u>	<u>3,280,211</u>
	=====	=====
The borrowings are repayable as follows:		
On demand or within 1 year	337,304	897,397
	<u>337,304</u>	<u>897,397</u>
Within 2 and 5 years	1,349,216	1,588,543
Within 5 and 10 years	843,260	794,271
	<u>1,349,216</u>	<u>794,271</u>
	<u>843,260</u>	<u>794,271</u>
	=====	=====
Long term borrowings	2,192,476	2,382,814
	<u>2,192,476</u>	<u>2,382,814</u>
Total borrowings	<u>2,529,780</u>	<u>3,280,211</u>
	=====	=====

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
30 June 2010				
PROPARCO loan	30,882,352	2,529,780	-	2,529,780
	=====	=====	=====	=====
30 June 2009				
Bank overdrafts	-	-	579,688	579,688
PROPARCO loan	35,000,000	2,700,523	-	2,700,523
	<u>35,000,000</u>	<u>2,700,523</u>	<u>579,688</u>	<u>3,280,211</u>
	=====	=====	=====	=====

27 BORROWINGS (Continued)

Movement in borrowings analysed by currency

	Borrowings in US\$ Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
2010			
At 1 July	2,700,523	-	2,700,523
Repayment of principal	(314,247)	-	(314,247)
Repayment of interest	(169,152)	-	(169,152)
Accrued interest	169,152	-	169,152
Foreign currency borrowings translation loss	143,504	-	143,504
	=====	=====	=====
At 30 June	2,529,780	-	2,529,780
	=====	=====	=====
2009			
At 1 July	-	746,069	746,069
Received	2,344,693	480,000	2,824,693
Repayment of principal	-	(1,210,000)	(1,210,000)
Repayment of interest	-	(16,069)	(16,069)
Foreign currency borrowings translation loss	355,830	-	355,830
	=====	=====	=====
At 30 June	2,700,523	-	2,700,523
	=====	=====	=====

The company obtained a US dollar 35 million loan facility from PROPARCO and used the funds for the development of the Co-generation project. The loan was disbursed in two tranches of US dollar 30 million and US dollar 5 million attracting fixed interest rates of 6.82% and 4.82% respectively.

The principal is repayable in equal quarterly instalments over a period of 10 years commencing from September 2009. The loan is secured by a fixed charge over the Co-generation plant, receivables from KPLC as well as the collateral deposit (note 20) which amounts to and should always amount to 10% of the loan disbursed as security.

The company had undrawn committed banking facilities amounting to Shs 1,182,287,000 (2009 – Shs 1,057,000,000). The banking facilities consist of bank overdrafts, guarantees and letters of credit.

The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 1,380,318,000 shared out on a parri passu basis by Kenya Commercial Bank Limited, Kenya Commercial Finance Company Limited and CFC Stanbic Bank Limited, with Barclays Bank of Kenya Limited share being Shs 630,815,000.

	2010	2009
The effective interest rates on the borrowings during the year were:		
PROPARCO	6.53%	6.53%
Bank overdrafts	12.50%	15.00%
	=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Shs'000	2009 Shs'000
28 TRADE AND OTHER PAYABLES		
Trade payables	1,030,041	857,751
Prepaid sales	158,235	264,193
Accruals	524,472	796,565
Out growers	534,166	259,738
Other payables	320,578	330,863
	<u>2,567,492</u>	<u>2,509,110</u>
	=====	=====
29 PROVISION FOR STAFF LEAVE PAY		
At the beginning of the year	28,157	22,128
Provision for the year	4,929	10,441
Paid in the year	(3,608)	(4,412)
	<u>29,478</u>	<u>28,157</u>
	=====	=====
30 NOTES TO THE STATEMENT OF CASH FLOWS		
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	2,179,874	1,193,161
<i>Adjustments:</i>		
Finance income	(404,226)	(299,892)
Finance costs	368,891	191,157
Amortisation of MOCO loan discount	-	5,674
Depreciation (note 11)	862,870	604,682
Amortisation (note 12)	44,868	42,789
Loss on disposal of noncurrent assets held for sale	26,308	705
Foreign exchange (losses)/gains	(2,573)	108,934
Amortisation of deferred grant income (note 26)	(12,026)	(11,605)
	<u>3,063,986</u>	<u>1,835,605</u>
Cash generated from operations before working capital changes		
	3,063,986	1,835,605
<i>Movements in:</i>		
Non-current receivables	(19,265)	(5,061)
Inventories (note 30(e))	(213,472)	290,158
Biological assets	10,126	(1,369)
Trade and other receivables	(64,309)	(631,944)
Collateral deposit	(13,817)	(78,808)
Provision for service gratuity	5,223	7,525
Trade and other payables	58,382	670,838
Provision for staff leave pay	1,321	6,029
	<u>2,828,175</u>	<u>2,092,973</u>
	=====	=====
Cash generated from operations		
	2,828,175	2,092,973
	=====	=====

30 NOTES TO THE STATEMENT OF CASH FLOWS (Continued)

	2010 Shs'000	2009 Shs'000
(b) Loans movement		
At beginning of year	2,700,523	746,069
Received	-	2,824,693
Repayment of principal	(314,247)	(1,210,000)
Repayment of interest	(169,152)	(16,069)
Accrued interest	169,152	-
Foreign currency borrowings translation loss	143,504	355,830
At end of the year (note 27)	2,529,780 =====	2,700,523 =====
(c) Analysis of the balances of cash and cash equivalents		
Cash and bank balances	525,751	182,381
Deposits with financial institutions (note 21)	820,376	-
Bank overdrafts (Note 27)	-	(579,688)
	1,346,127 =====	(397,307) =====
(d) Additions to property, plant and equipment		
Additions in the year (note 10)	336,646	3,429,929
Less interest capitalised (note 4(b))	-	(200,526)
Less exchange losses capitalised (note 4(b))	-	(66,844)
	336,646 =====	3,162,559 =====
(e) Movement in inventory		
(Increase)/ decrease in inventory	(158,982)	290,158
Critical spares transferred from inventory (note 11)	(54,490)	-
	(213,472) =====	290,158 =====

31 OPERATING LEASE ARRANGEMENTS

The company as lessee:

Minimum lease payments under operating leases recognised through profit or loss

At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:

Within one year

In the second to fifth years inclusive

2010
Shs'000

2009
Shs'000

27,049

=====

24,673

=====

19,861

45,234

65,095

=====

24,673

68,452

93,125

=====

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 11,224,000 (2009 – Shs 7,125,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables.

2010
Shs'000

2009
Shs'000

Within one year

In the second to fifth years inclusive

11,224

44,896

56,120

=====

7,125

28,500

35,625

=====

32 CAPITAL COMMITMENTS

Commitments at the year end for which no provision has been made in these financial statements:

Authorised and contracted for

Authorised but not contracted for

2010
Shs'000

2009
Shs'000

25,470

5,253,000

5,278,470

=====

38,437

5,094,786

5,133,223

=====

The capital commitments relate primarily to expenditure on the proposed alcohol distillery plant (Shs 3.4 billion), water bottling plant (Shs 360 million), dewatering mill box (Shs 250 million), refurbishment of boiler number 3B (Shs 224 million), and a new office block (Shs 150 million) These projects are meant to diversify the company's sources of revenue, cater for increased throughput and allow for automation of some of the processes which require improved instrumentation. The company intends to fund these commitments through internally generated funds, loans and overdrafts.

33 CONTINGENT LIABILITIES

At 30 June 2010, the company was a defendant in various litigations and claims amounting to Shs 16,850,510 (2009: Shs 156,304,000), which arose in the ordinary course of business.

Included in the 2009 balance is an amount of Shs 53 million in respect of a claim filed by a former customer in respect of breach of contract. The company has fully provided for the amount as yet unpaid to the plaintiff in the current year and therefore no contingent liability in respect of this balance is included in the current year financial statements.

Mumias Sugar Company Limited (MSC) and MOCO have a dispute over interest over-charge. The dispute was taken to arbitration. MOCO has made a claim of Shs 3,531,008,011 in respect of cane development funds and interest overcharge. MSC has placed a counterclaim of Shs 3,512,037,682 in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest. The arbitration process has begun but has been suspended following a judicial review. The directors are of the opinion that the claim is unlikely to succeed and has therefore not been provided for in these financial statements. All amounts due from MOCO have been fully provided for as indicated in Note 19(b).

34 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balances outstanding on that scheme at year end was Shs 150,762,974 (2009 – Shs 126,800,880). The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 6,531,000 (2009 – Shs 6,622,000).

b) Key management compensation

The remuneration for key management during the year was as follows:

	2010 Shs'000	2009 Shs'000
Salaries and other benefits	68,259 =====	51,881 =====
c) Directors' remuneration		
Fees for services as directors	5,500	5,207
Other emoluments	49,402	54,787
	54,902 =====	59,994 =====

35 FINANCIAL RISK MANAGEMENT POLICIES

Overview

The company's activities expose it to a variety of operational and financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the company's business and the operational risks are an inevitable consequence of being in business.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- Credit risk
- Market risk
- Liquidity risk

The company's financial risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems.

The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices. The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks.

Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Audit Committee. This department is responsible for assessing the risk faced by the company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls that address these risks.

The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults.

The company is exposed to this risk in several areas including trade and other receivables, and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs and services to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit. The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories.

35 FINANCIAL RISK MANAGEMENT POLICIES (Continued)

Credit risk management (Continued)

The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews. Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

In measuring credit risk relating to trade receivables, the company therefore reflects three components:

The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt. In some cases where an unsecured customer is in arrears the whole amount is provided for.

Maximum exposure to credit risk before collateral held or other credit enhancements

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the comparative end of reporting periods, without taking account of any collateral held or other credit enhancements attached. For on statement of financial position assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. The credit risk on liquid funds is limited because the counterparties are commercial banks with high credit-ratings assigned by international credit-rating agencies.

35 FINANCIAL RISK MANAGEMENT POLICIES (Continued)

Credit risk management (Continued)

The credit risk exposures are classified in three categories:

Fully performing

The company classifies financial assets under this category for those exposures that are upto date and in line with contractual agreements.

Past due but not impaired

The financial assets that are past due relate to trade receivables overdue by over 30 days. The receivables are not impaired and continue to be paid. The company is actively following these receivables. The collateral held for sugar debtors in this category includes guarantees from reputable banks recommended by the company.

Impaired

Impaired financial assets are financial assets for which the company determines that it is probable that it will be unable to collect all payments due according to the contractual terms of the agreement(s). No collateral is held with respect to the debt.

The carrying amount of financial assets recorded in the financial statements representing the company's maximum exposure to credit risk without taking account of the value of any collateral obtained is made up as follows:

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

Analysis of credit risk exposure

Apart from the company's largest customer with whom the company traded 11% of its current year sales (2009: 19 %), the company does not have significant credit exposure to any counter party or group of counter parties having similar characteristics. The company defines counter parties as having similar characteristics if they are related parties.

Concentration of credit risk to the largest customer did not exceed 5% of gross monetary assets at any time during the year. Concentration of credit risk to any other counter party did not exceed 5% of gross monetary assets at any time during the year. The tables below represents the company's maximum exposure to credit risk without taking account of the value of any collateral obtained as at the end of the reporting period.

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
30 June 2010				
Trade receivables	256,117	196,555	(136,428)	316,244
Receivables from farmers	1,298,622	437,091	(437,091)	1,298,622
MOCO receivables	-	721,308	(721,308)	-
KPLC receivables	417,293	-	-	417,293
Investment held to maturity - Uchumi Supermarkets Limited debenture (note 15)	-	7,266	(7,266)	-
Collateral deposit	286,709	-	-	286,709
Deposits with financial institutions	820,376	-	-	820,376
Bank balances	525,049	-	-	525,049
Advance to Busia Sugar Company Limited (in receivership)	11,035	-	-	11,035
	<u>3,615,201</u>	<u>1,362,220</u>	<u>(1,302,093)</u>	<u>3,675,328</u>

35 FINANCIAL RISK MANAGEMENT POLICIES (Continued)

Credit risk management (Continued)
Analysis of credit risk exposure (Continued)
30 June 2009

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	182,980	163,140	(140,675)	205,445
Receivables from farmers	1,694,939	99,185	(99,185)	1,694,939
MOCO receivables	-	721,308	(550,204)	171,104
BOCO receivables	11,158	-	-	11,158
KPLC receivables	296,545	-	-	296,545
Investment held to maturity - Uchumi Supermarkets Limited debenture (note 15)	-	7,266	(7,266)	-
Collateral deposit	272,892	-	-	272,892
Bank balances	181,351	-	-	181,351
Advance to Busia Sugar Company Limited (in receivership)	27,959	-	-	27,959
	<u>2,667,824</u>	<u>990,899</u>	<u>(797,330)</u>	<u>2,861,393</u>
	=====	=====	=====	=====

Market risk management

Market risk is the risk arising from changes in market prices, such as interest rate and foreign exchange rates which will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. Overall responsibility for managing market risk rests with the company's management under the supervision of the Board of Directors.

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

At 30 June 2010, an increase/decrease of 3 percentage points on interest rates would have resulted in a decrease/increase in pre-tax profit of Shs. nil (2009 – Shs 47,115,200). The interest rate on the PROPARCO loan and BOCO loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

(i) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, the Sterling Pound and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors or denominated in foreign currency, bank balances and collateral and term deposits denominated in foreign currency.

As at 30 June 2010, an increase/decrease of 5 percentage points on exchange rates would have resulted in an decrease/increase in pre-tax profit of Shs 84,621,688 (2009 – Shs 107,769,584). This risk is primarily attributed to the PROPARCO loan after adjusting for the foreign exchange effect on US dollar denominated PROPARCO loan collateral deposit, term deposits and trade and other debtors and Euro denominated trade and other debtors.

35 FINANCIAL RISK MANAGEMENT POLICIES (Continued)

Liquidity risk management

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the discounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	1 - 6 months Shs'000	6 - 12 months Shs'000	1 - 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2010					
Borrowings	253,944	244,829	2,148,099	535,359	3,182,231
Trade payables	1,030,041	-	-	-	1,030,041
Payables to out growers	534,166	-	-	-	534,166
Total financial liabilities (contractual maturity dates)	1,818,151	244,829	2,148,099	535,359	4,746,438
At 30 June 2009					
Borrowings	1,144,966	241,044	1,744,916	1,250,369	4,381,295
Trade payables	857,751	-	-	-	857,751
Payables to outgrowers	259,738	-	-	-	259,738
Total financial liabilities (contractual maturity dates)	2,262,455	241,044	1,744,916	1,250,369	5,498,784

NOTES TO THE FINANCIAL STATEMENTS (Continued)

36 CAPITAL MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The capital structure of the company consists of debt, which includes the borrowings, cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings.

The Board of Directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risks associated with each class of capital. Based on the review, the company analyses and assesses the gearing ratio to determine the level and its optimality. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2010 Shs '000	2009 Shs '000
The gearing ratio at the yearend was as follows:		
Shareholders' equity	10,999,852	10,039,469
Borrowings (note 27)	2,529,780	3,280,211
Collateral deposits (note 20)	(286,709)	(272,892)
Deposits with financial institutions (note 21)	(820,376)	-
Cash and bank balances	(525,751)	(182,381)
Net debt	896,944	2,824,938
Total capital	11,826,796	12,864,407
Gearing ratio	7.58%	21.96%

37 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

38 CURRENCY

These financial statements are prepared in thousands of Kenya Shillings (Shs '000).

	2005/06 Shs'000	2006/07 Shs'000	2007/08 Shs'000	2008/09 Shs'000	2009/10 Shs'000
Turnover	11,657,540	10,381,190	11,970,101	11,791,708	15,617,738
Cane purchases from outgrowers	4,533,676	4,216,471	5,010,627	4,923,637	6,630,910
Gross profit	4,081,549	3,587,948	4,265,524	3,310,968	4,884,538
Profit before taxation	2,219,889	1,909,894	1,589,204	1,193,161	2,179,874
Taxation	(693,274)	(516,283)	(375,367)	416,811	(607,491)
Profit after taxation	1,526,615	1,393,611	1,213,837	1,609,972	1,572,383
Shareholders' funds at period end	7,709,049	8,337,660	9,041,497	10,039,469	10,999,852
Gross profit margin	35.01%	34.56%	35.63%	28.08%	31.38%
Return on capital employed	28.80%	22.91%	17.58%	11.88%	21.85%
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	892,500	765,000	612,000	612,000	612,000
Dividends per share, Shs	0.58	0.50	0.40	0.40	0.40
Earnings per share, Shs	1.00	0.91	0.79	1.05	1.03
Direct revenue to Government by way of Value Added Tax and Income Tax	2,358,878	1,663,447	2,157,700	1,514,156	2,496,155
Staff costs:					
Management	729,364	722,665	734,067	907,541	1,129,231
Non-management	733,766	728,846	756,621	716,778	847,141
Total staff costs	1,463,130	1,451,511	1,490,688	1,624,319	1,976,372
Registered farmers at period end	65,943	77,200	81,789	84,567	89,012
Area under cane (Ha)					
Nucleus estate	3,695	3,851	3,755	3,722	3,554
Outgrowers	53,674	63,705	59,410	62,818	55,543
Cane processed (Thousand Tonnes)	2,451	2,119	2,408	2,161	2,318
Sugar produced (Thousand Tonnes)	266	217	265	231	236
Category of permanent employees:					
Management	424	470	453	588	541
Non-management	1,393	1,380	1,153	1,112	982
Total	1,817	1,850	1,606	1,700	1,523

The Company Secretary
Mumias Sugar Company Limited (MSC)
P.O. Private Bag
MUMIAS

Share Member No.....

PROXY

I/We _____ of _____

Being a *Member/Members of the named Company, hereby appoint:

_____ of _____

Or failing him _____ of _____

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 3rd December 2010 and at any adjournment thereof.

*Strike out as appropriate

Signature (s)

Signed this _____ day of _____ 2010

Notes

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here.....

Shareholders admission letter for MSC AGM on 3rd December, 2010

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance.

Kindly note that only the registered shareholders or their proxy in order to record attendance.

Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

Name _____

Signature _____

Share account number _____

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 3rd December 2010 at 10.00 am.

Nambari Ya Mwanahisa.....

Katibu Wa Kampuni
Mumias Sugar Company Limited (MSC)
P.O. Private Bag
MUMIAS

WAKALA

Mimi/Sisi _____ kutoka _____

Kama *Mwanachama/Wanachama wa kampuni iliyotajwa, twamteua:

_____ kutoka _____

au akikosa _____ kutoka _____

Kama wakala wangu/wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa pamoja wa mwaka (AGM) utakaofanyika Ijumaa Desemba 3, 2010 au kuahirishwa kwake.

*Jaza panapohitajika.

Sahihi

Imetiwa sahihi _____ siku hii ya _____ mwaka 2010

Muhimu

1. Anwani iwe kama ilivyoonyeshwa katika rejista ya wanachama
2. Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
3. Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
4. Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetosha lakini majina ya wamiliki wote yaonyeshwe.

Kata hapa.....**Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa pamoja wa mwaka wa MSC Ijumaa Desemba 3, 2010.**

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi idadi ya waliohudhuria.

Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48 kabla ya kuanza kwa mkutano watakoruhusiwa kuhudhuria.

Jina _____

Sahihi _____

Akaunti ya mwanahisa _____

Mkutano wa pamoja wa mwaka wa Kampuni ya MSC utakaofanyika katika Chuo cha Tom Mboya Labour, Ring Road Milimani, Kisumu Ijumaa Desemba 3 Kuanzia saa nne asubuhi.



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